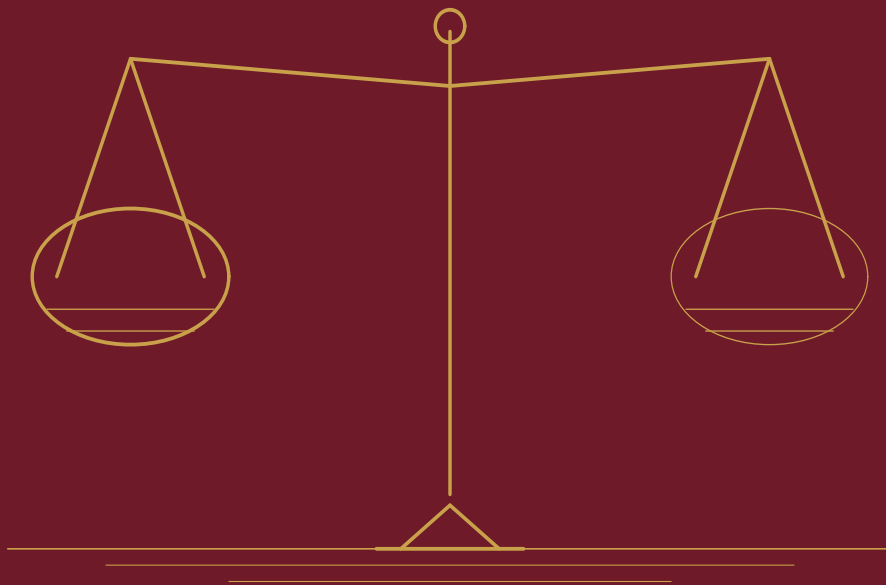


AN INTRODUCTION TO BUSINESS

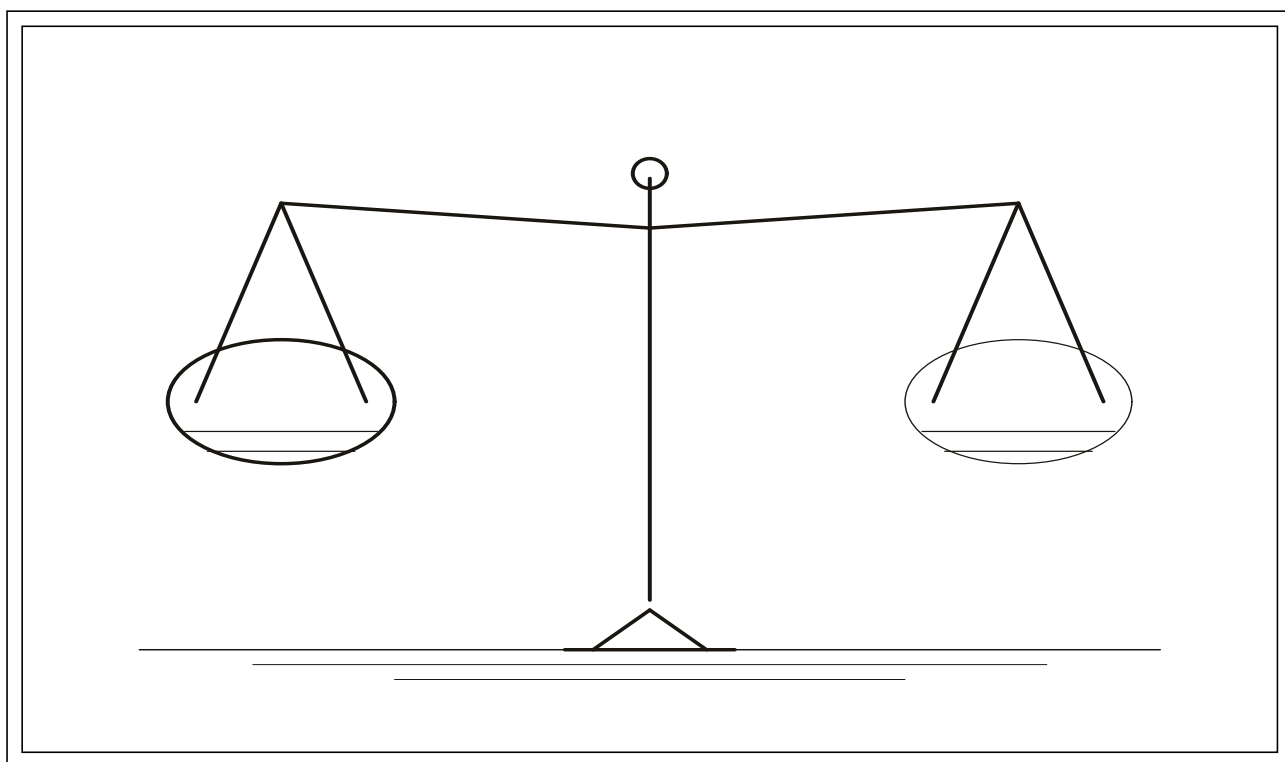


Business, Management and Enterprise
with special reference to Bangladesh



A FIRST COURSE FOR UNIVERSITY STUDENTS

AN INTRODUCTION TO BUSINESS



Frontispiece. [An engraving will be placed here.]

Who owns, who decides, and who pays if it fails.

AN INTRODUCTION TO BUSINESS

*Business, Management and Enterprise,
with special reference to Bangladesh*



A FIRST COURSE FOR UNIVERSITY STUDENTS

First edition

All rights reserved. No part of this book may be copied without permission.

The Shapla Bakery, its owners, and its figures are invented for teaching and do not describe any real firm.
Historical events are taken from the public record; laws are described as the author understood them and

Set in Liberation Serif. Printed in black on cream uncoated paper.

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TO THE READER

How this book is arranged on the page.

This book assumes that you know nothing about business yet. Every new word is explained when it first appears, and the meaning is repeated beside the text. You are not expected to know any of it already, and you will find that the ideas are easier than the vocabulary first suggests.

A wide column at the side carries short notes.

Look at the narrow column at the edge of each page. It carries two kinds of note. A line in italic type sums up the paragraph beside it, so you may read the notes alone to review a chapter. A note that begins with a word in bold type gives the meaning of a key term in one line. The same words are set out more fully in the glossary at the back.

Bold type marks a new term, once only.

Bold type is used for one purpose only: to mark a key term where it first appears. After that the term appears in ordinary type. Italic type is used for emphasis, for words from other languages, and for the titles of books. Small numbers raised above the line refer to notes at the foot of the page, which explain a point without breaking the argument.

Where care is needed, the page says so.

Where an idea is new and hard, the side column carries the words *Go slowly here*. Take that as an invitation to read twice. A short paragraph headed *Before moving on* will then repeat the idea in fewer words. Each chapter opens with a question and closes with a summary, a problem, a list of common errors, a true story from history, and review questions, the answers to which are given at the back.

Case files are illustrative, not real.

One small business runs through the book: the Shapla Bakery of Dhaka, begun by two friends. It is invented, and its figures are chosen to teach. Real events in the *In history* sections are taken from the record. Money is counted in taka, shown as Tk. Where law is described, it is the law of Bangladesh as the author understood it; the statutes are listed under further reading, and the current text should always be consulted.

PREFACE

The book begins from the reader, not the subject.

Business is the oldest subject in daily life and one of the newest in the classroom. A student has bought bread and sold a favour long before reading a word about either. This book therefore begins from what the reader already does, and moves step by step to the language and ideas that business people use.

The chapters follow the order in which ideas depend on one another.

The order of chapters follows dependence. Chapter I explains what business is and what it needs. Chapter II places the business in its surroundings, and Chapter III asks what it owes to others. Chapter IV, the longest, describes the forms of ownership, because the choice of form shapes everything that follows. Chapters V and VI turn to trade and firms across borders, Chapter VII to the markets and institutions that support business in Bangladesh, and Chapter VIII to the joining of firms.

The weight of a chapter follows its importance.

Chapters are long in proportion to the importance of their subject. The forms of ownership receive the most space because they underlie later chapters; the joining of firms, which rests on them, receives the least. Nothing is included merely to fill a page, and nothing important is hurried.

The author hopes the reader will finish with two gains: a working vocabulary of business, and the habit of asking, of any enterprise, what it serves, who owns it, and who pays if it fails.

HOW THE CHAPTERS FIT TOGETHER

The table below shows the question each chapter answers and the ideas it needs from earlier chapters. A reader who is unsure about a chapter should return to the chapters named in the last column.

Each chapter rests on the ones before.

CHAPTER MAP

Chapter	Main question	You will need
I	What is business and what does it need?	Nothing
II	What forces surround a firm?	Chapter I
III	What does a firm owe to others?	Chapters I and II
IV	Who owns the business?	Chapters I and III
V	How is trade across borders done?	Chapters I and IV
VI	What is a multinational firm?	Chapters IV and V
VII	How do markets and institutions support business?	Chapter IV
VIII	Why do firms join together?	Chapters IV and VII

The order is also a path. The first three chapters teach what business is and where it lives. The fourth gives the forms that carry it. The last four show business in larger settings: abroad, across borders, in the market, and in combination.

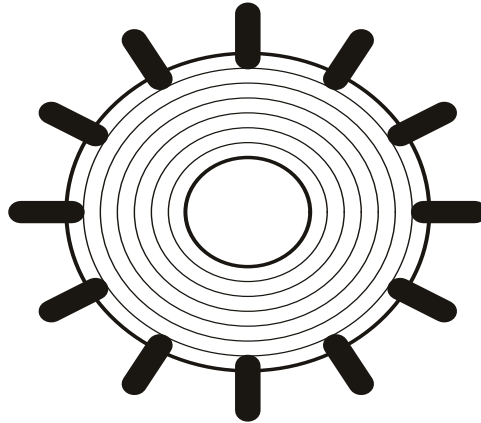


Plate I. [An engraving will be placed here.]

CHAPTER I

The Idea of Business

What do a street vendor and a great factory have in common?



This chapter explains what business is, how it is divided, what it aims to achieve, what it needs, and where it should be placed. It closes with the qualities that bring a business to success.

A business serves needs and hopes to earn a reward.

Business. Any lawful activity that supplies goods or services to customers in order to earn a profit.

Four marks set business apart from other activity.

GO SLOWLY HERE.

Trade. Buying and selling of goods.

Commerce. Trade together with everything that helps trade.

Industry. Work that makes goods or extracts them from nature.

Business divides into industry and commerce.

Some activities cannot be placed in one box.

WHAT BUSINESS IS

Imagine a woman in Dhaka who rises before dawn, buys vegetables at a wholesale market, and sells them by noon at a roadside stall. Across the city a factory turns cotton into shirts for shops overseas. One is tiny and one is vast, yet a single question describes both: what need does it serve, and what does it earn for serving it?

The answer gives us our first term. **Business** means any lawful activity that supplies goods or services to customers in order to earn a profit. **Goods** are things you can touch, such as bread or shirts. **Services** are useful acts, such as banking or transport. **Profit** is the money left when the costs of the activity are taken from the money it earns.¹

Four features appear in every business. First, it is an **economic activity**: it deals with money and things that have a price. Second, it is carried on **regularly**; a single sale by a person clearing a cupboard is not a business. Third, it aims at **profit**, though it must also respect the law. Fourth, it carries **risk**, because customers may not buy and costs may rise. Whoever accepts this uncertainty is called the entrepreneur.

Three words are often confused: trade, commerce, and industry. **Trade** is the buying and selling of goods. **Commerce** is trade together with the services that help it, such as banking, insurance, transport, warehousing, advertising, and communication. **Industry** is the work of producing goods or taking them from nature. A baker is in industry; the shopkeeper who sells the loaf is in trade; the bank that lends the shopkeeper money is among the aids to trade, and all three belong to commerce.

Before moving on. Business supplies goods or services for profit. It is regular and risky. Industry makes things, trade sells them, and commerce means trade plus its helpers.

THE BRANCHES OF BUSINESS

Because business is so wide, it helps to divide it. The first division follows the three words just learned. Industry produces; commerce distributes. Each part has branches, and the table below shows them. Read each row from left to right: the first column names the branch and the second explains what it does.

THE BRANCHES OF BUSINESS

Branch	What it does	Example
Extractive industry	Takes goods from nature	Fishing, mining, farming
Manufacturing industry	Turns materials into finished goods	Garments, medicine
Construction industry	Builds structures	Roads, houses, bridges
Trade	Buys and sells goods	Wholesaler, retailer, exporter
Aids to trade	Help trade to happen	Banks, insurers, carriers

The boundaries are not sharp. A bakery both makes bread and sells it, so it stands in industry and in trade at once. For this reason the branches are a tool for thinking, and not a rule that every business must obey.

¹ Business English has several words for earnings. In this book, *revenue* is the money received from customers, and *profit* is what remains after costs.

WHAT BUSINESS AIMS AT

Every business has **objectives**, which are the results it tries to reach. The first group is economic. A firm wants **profit**, since without it a firm cannot stay open; it wants to survive, to grow, and to win a share of the market. A second group is social: to supply good products at fair prices and to treat society honestly. A third is human: to give workers fair pay and a safe place of work. A fourth is national: to add to the country's output and employment.

These aims can pull against one another. A cheaper material may raise profit and harm the river. Experienced owners therefore treat profit as the reward for serving customers well, and not as the only goal. Chapter III returns to this tension, which explains why a business that ignores society seldom lasts.

WHAT BUSINESS NEEDS

To produce anything, a business must gather resources. Economists call them the **factors of production**, and name four. **Land** means all natural resources: soil, water, minerals, and the ground a shop stands on. **Labour** means the physical and mental effort of people. **Capital** means the money and the tools, machines, and buildings that money buys. **Organisation** means the skill of bringing the other three together and carrying the risk. Each earns a reward: land earns rent, labour wages, capital interest, and organisation profit.

The word capital needs care, because daily speech uses it loosely. Here it does not mean any wealth that a person owns; it means the money and equipment that are put to work. A baker's savings in a drawer are not yet capital. When they buy an oven, they become capital.



Case file, illustrative. Nasrin and Imran plan the Shapla Bakery in Dhaka. Land: a rented shop of 300 square feet at Tk 25,000 a month. Labour: Nasrin bakes, Imran sells, and one helper is hired. Capital: an oven bought for Tk 180,000 and Tk 120,000 held for flour and wages. Organisation: the two founders decide what to bake, set prices, and accept the risk. Each factor appears in this list, and none could be left out.

WHERE TO PLACE A BUSINESS

Location means the place where a business operates, and the choice is hard to undo. Moving an oven or a factory is costly. Several factors guide the choice. **Nearness to markets** matters most to a shop, which needs passing customers. **Nearness to raw materials** matters to a firm whose inputs are heavy or perishable, such as a sugar mill near cane fields. **Labour** matters where skilled workers are scarce. **Transport, power, and water** are needed by almost every factory. **Government policy**, including tax relief in special zones, can outweigh the rest.

Weighing these factors means asking which of them the particular business cannot do without. A bakery selling fresh bread must stand where its customers walk. A garment factory may accept a distant site if it has cheap power, available

Aims are economic, but also social and human.

Objective. A result that a business tries to reach.

Four resources are needed in every business.

Factors of production. The resources used to make goods and services: land, labour, capital, and organisation.

GO SLOWLY HERE.

Word in use: capital. In daily life, wealth. In business, the money and equipment used to produce.

An illustrative case, not a real firm.

Location shapes cost, sales, and survival.

workers, and a road to the port. The bakery in our case file therefore takes a busy lane, though the rent is high.

WHAT BRINGS SUCCESS

Success needs planning, people, and prudence.

Experience points to a few conditions for success. A clear **plan** states what is sold, to whom, and at what price. Enough **capital** must cover costs until sales arrive. Honest **dealing** earns repeat customers. Good **management** controls costs and keeps accounts. The owner needs **qualities** such as foresight, judgement, courage to accept risk, willingness to learn, and fairness in dealing with workers and buyers. None of these guarantees success, but their absence often explains failure.

THE SCOPE OF BUSINESS

Scope means the whole field that business covers.

Scope of business. The whole range of activities that make up business, from making goods to helping trade.

The **scope of business** means the whole range of activities that make up business, from making goods to helping trade. It is wider than a shop or a factory. It includes extracting goods from the earth, making them, moving them, storing them, selling them, and every service that makes these acts easier, such as banking and insurance. It reaches from a vegetable seller to a bank with branches in a hundred towns.

Business, profession, and employment differ.

Business should be set beside two other ways of earning a living. A **profession**, such as law or medicine, offers skilled personal service for a fee, and its members follow a code of conduct. **Employment** means working for another person in return for wages. The table below shows how the three differ. Read down each column to see how a person is paid, what is risked, and what is needed to start.

BUSINESS, PROFESSION, AND EMPLOYMENT

Basis	Business	Profession	Employment
Reward	Profit	Fees	Wages or salary
Risk	Owner bears it	Little	Employer bears it
Capital	Usually needed	Little	None
Training	Not always required	Formal training	Depends on the post
Example	Bakery	Lawyer	Bank clerk

THE WORK DONE INSIDE A BUSINESS

Every business performs five kinds of work.

Marketing. The work of finding what customers want and bringing goods to them.

Whatever its size, every business does five kinds of work. **Production** makes the goods or the service. **Marketing** is the work of finding what customers want and bringing goods to them, including pricing, advertising, and delivery. **Finance** raises money and sees that it is used well. **Personnel** work finds, trains, and pays the people. **Accounting** records every sale and cost, so that the owner knows whether the business is gaining or losing. In a one-person stall the same person does all five; in a great firm each has its own department.

Seeing these five functions helps the beginner to read any firm. When the Shapla Bakery is small, Nasrin bakes and Imran sells and keeps the books; as it grows, they will hire staff for each task.

RECONCILING PROFIT AND PURPOSE

How can a firm hold economic and social aims at once? The usual answer is that the two meet in the long run. A firm that sells safe goods at fair prices wins loyal customers; one that treats workers well keeps skilled staff; one that is honest with lenders finds funds when it needs them. Where aims conflict in the short run, as when a safer process costs more, owners must weigh the cost now against the trust gained later, and law sets the minimum.

Profit and public good can be pursued together.

THE QUALITIES OF A GOOD BUSINESSPERSON

An **entrepreneur** is a person who starts a business and accepts its risks in the hope of profit. What qualities help such a person? The first is **foresight**, the power to see what customers will want. The second is **judgement**, to weigh gains against risks and choose well. Third comes **courage**, since every business may fail. A fourth is **honesty**, for trade runs on trust. A fifth is **skill in managing people and money**, and a sixth is **willingness to learn**, because markets change. No one has all of these at the start, but each can be improved by practice, and the habit of learning from mistakes matters most.

Habits matter as much as capital.

Entrepreneur. A person who starts a business and accepts its risks in the hope of profit.

SUMMARY

Business is a lawful activity that supplies goods and services for profit. It divides into industry and commerce. It aims at profit, and also at social and human results. It needs land, labour, capital, and organisation, and its place should be chosen with care.

THINK IT THROUGH

Choose a business you know, such as a tailor, a pharmacy, or a tea stall. List its four factors of production, and name the one that would be hardest to replace.

WHERE PEOPLE GO WRONG

Many students think trade and commerce mean the same. Trade is only buying and selling; commerce adds the aids to trade. Others think profit is the only objective. It is the first, but not the only, aim of a lasting business.

IN HISTORY

In 1776 the Scottish thinker Adam Smith described a small pin workshop in *The Wealth of Nations*. He reported that ten workers, each doing one task, could make about 48,000 pins in a day, where one worker alone might make a few. His point was that dividing the work, and organising it well, multiplies what the same people can produce.

REVIEW QUESTIONS

(1) Define business and name its four features. (2) Distinguish trade, commerce, and industry. (3) Name the four factors of production and the reward of each. (4) Which factors should guide the choice of location for a bakery?

KEY TERMS OF THIS CHAPTER

Business. Any lawful activity that supplies goods or services to customers in order to earn a profit. **Trade.** Buying and selling of goods. **Commerce.** Trade together with everything that helps trade. **Industry.** Work that makes goods or extracts them from nature. **Objective.** A result that a business tries to reach. **Factors of production.** The resources used to make goods and services: land, labour, capital, and organisation. **Scope of business.** The whole range of activities that make up business, from making goods to helping trade. **Marketing.** The work of finding what customers want and bringing goods to them. **Entrepreneur.** A person who starts a business and accepts its risks in the hope of profit.

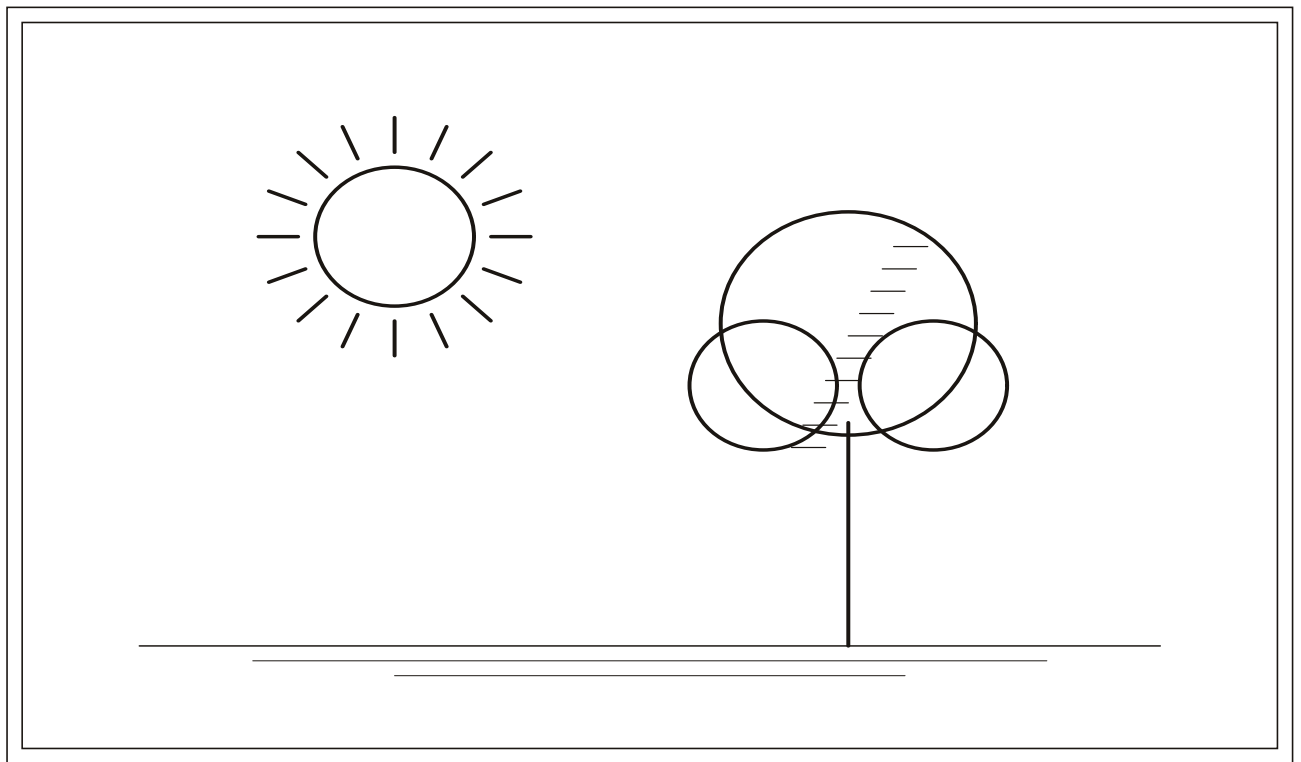


Plate II. [An engraving will be placed here.]

CHAPTER II

The Business Environment

Why does a good bakery fail when the road in front of it is closed?



This chapter explains the forces inside and outside a business that shape what it can do. It shows how a business must watch these forces, adapt to them, and sometimes change them.

A firm lives inside a setting it does not fully control.

Business environment. All the forces and conditions, inside and outside a firm, that affect how it works.

The inside is what the firm can control.

Internal environment. The people, resources, and rules inside a firm that its owners can change.

The outside is what the firm must accept or answer.

External environment. The forces outside a firm that it cannot control but must respond to.

The firm watches, adapts, and sometimes shapes.

THE WORLD AROUND THE FIRM

Suppose the Shapla Bakery has the best bread in its lane. One spring the city digs up the road for six months. Customers stop coming, though nothing about the bread has changed. The bakery did not fail through poor baking; it failed because something outside its walls changed. This is the lesson of the chapter: a business is never alone, and its fortunes depend on its surroundings.

We call these surroundings the **business environment**. It means all the forces and conditions, inside and outside a firm, that affect how the firm works. Some forces a firm can control and some it cannot. Wise owners learn to tell the two apart early, because effort spent on a force that cannot be changed is wasted.

THE INTERNAL ENVIRONMENT

The **internal environment** means the people, resources, and rules inside the firm that its owners can change. It includes the owners and their goals, the managers and their skill, the workers and their morale, the money and equipment available, and the firm's culture. **Culture** means the shared habits and values of a workplace: whether people arrive on time, speak honestly, and care for the customer. Because the owners control these things, weakness inside is a problem the firm can solve for itself.

THE EXTERNAL ENVIRONMENT

The **external environment** means the forces outside the firm that it cannot control but must answer. It has two layers. The first layer touches the firm every day. It consists of customers, suppliers, competitors, lenders, and the local community. A rival bakery that cuts its prices belongs here, as does a flour supplier who raises his.

The second layer is wider and acts on every firm in a country. It has five parts. The **economic** part covers prices, incomes, interest rates, and the exchange rate of the taka. The **political and legal** part covers laws, taxes, licences, and the stability of government. The **social and cultural** part covers tastes, customs, education, and population. The **technological** part covers machines, mobile payments, and the internet. The **natural** part covers climate, floods, and the supply of water and power.

THE WIDER EXTERNAL ENVIRONMENT

Part	What it means	Effect on the bakery
Economic	Income, prices, interest	Dearer flour reduces profit
Political and legal	Laws, taxes, licences	A food licence is required
Social and cultural	Tastes and customs	Demand rises at festivals
Technological	New tools and methods	Orders by mobile phone
Natural	Weather and resources	A flood closes the lane

HOW A FIRM MEETS ITS ENVIRONMENT

The relationship runs in both directions. A firm first **watches**: owners read the news, talk to customers, and note what rivals do. A firm then **adapts**: the bakery that sees demand for brown bread adds it to the shelves. A large firm may also **shape** its surroundings, for example by working with other firms to ask the

government for a change in the rules. Small firms shape little and must adapt more.

Two cautions apply. The first is that the environment changes slowly at first and then suddenly, so watching must be regular. The second is that not every change is a threat. A new road may bring customers just as a closed road takes them away. Each force should be judged as a possible opportunity and as a possible danger.

READING THE ENVIRONMENT

How can an owner put these ideas to work? A simple tool is **SWOT analysis**, which means reviewing a firm by listing its strengths, weaknesses, opportunities, and threats. Strengths and weaknesses belong to the internal environment; opportunities and threats come from the external environment. The table below applies the tool to the Shapla Bakery. Notice that each item names one fact, and that a fact may be placed in one box only.

SWOT REVIEW OF THE SHAPLA BAKERY (ILLUSTRATIVE)

Box	Fact noted
Strength	Fresh bread and loyal customers on one busy lane
Weakness	One oven, so no spare if it breaks
Opportunity	Rising demand for packed snacks ordered by phone
Threat	Flour prices rise and a rival opens nearby

The review does not solve the problem by itself, but it tells the owners where to look. The weakness points to a repair fund, the opportunity to a phone ordering service, and the threat to a second supplier. What matters is that each action follows from a fact that was written down.

THE ENVIRONMENT OF BANGLADESH

A student of business in Bangladesh sees the environment at work every day. Floods and heavy rain affect transport and crops. A young and large population supplies both workers and buyers. Mobile phones have spread widely, and with them **e-commerce**, which means buying and selling goods and services over the internet. A baker who once waited for walk-in customers can now take orders by phone and send goods by courier. Government rules on licences, taxes, and imports change from time to time, and a wise owner reads each new rule as it comes. Such local facts do not appear in a general textbook, so the owner must gather them first-hand.

Pause and check. Can you say which part of the wider environment each of these belongs to: a new tax on flour, a mobile payment service, and a flood? They are, in order, political and legal, technological, and natural.

HOW A FIRM CAN SHAPE ITS SURROUNDINGS

It would be wrong to say that a firm can only submit to its surroundings. Firms train workers, and so change the supply of skill. They advertise, and so change tastes. They join chambers of commerce and trade associations, and so make their needs known to government, which may then change a rule. They build lasting links with suppliers, and so make the supply of materials more certain. The small firm has little power to do these things alone, but by acting together

SWOT sets inner strengths against outer chances.

SWOT analysis. A way of reviewing a firm by listing its strengths, weaknesses, opportunities, and threats.

Local conditions shape the choices of every firm.

E-commerce. Buying and selling goods and services over the internet.

Firms are not only shaped; they also shape.

with others it can have a voice. The test of wisdom is to know which forces can be shaped and which must simply be met.

SUMMARY

The business environment is everything that affects the firm. The inside can be controlled; the outside cannot, and has a near layer and a wide layer. A firm should watch, adapt, and where possible shape.

THINK IT THROUGH

Name three outside forces that could help and three that could harm a tailor's shop near a university. Say which you would watch first.

WHERE PEOPLE GO WRONG

Students often list only competitors as the external environment. Competitors are one part of the near layer; the wide layer of law, economy, society, technology, and nature also acts on every firm.

IN HISTORY

In 1975 an engineer at Kodak, Steven Sasson, built the first digital camera. The company, whose profits came from film, did not pursue the idea with full force. In 2012 Kodak filed for bankruptcy protection in the United States. The case is often used to show how a change in technology, which is part of the environment, can overtake a firm that has not watched or adapted.

REVIEW QUESTIONS

(1) Define the business environment. (2) Distinguish the internal and external environments. (3) Name the parts of the wider external environment. (4) How does a firm interact with its environment?

KEY TERMS OF THIS CHAPTER

Business environment. All the forces and conditions, inside and outside a firm, that affect how it works. **Internal environment.** The people, resources, and rules inside a firm that its owners can change. **External environment.** The forces outside a firm that it cannot control but must respond to. **SWOT analysis.** A way of reviewing a firm by listing its strengths, weaknesses, opportunities, and threats. **E-commerce.** Buying and selling goods and services over the internet.

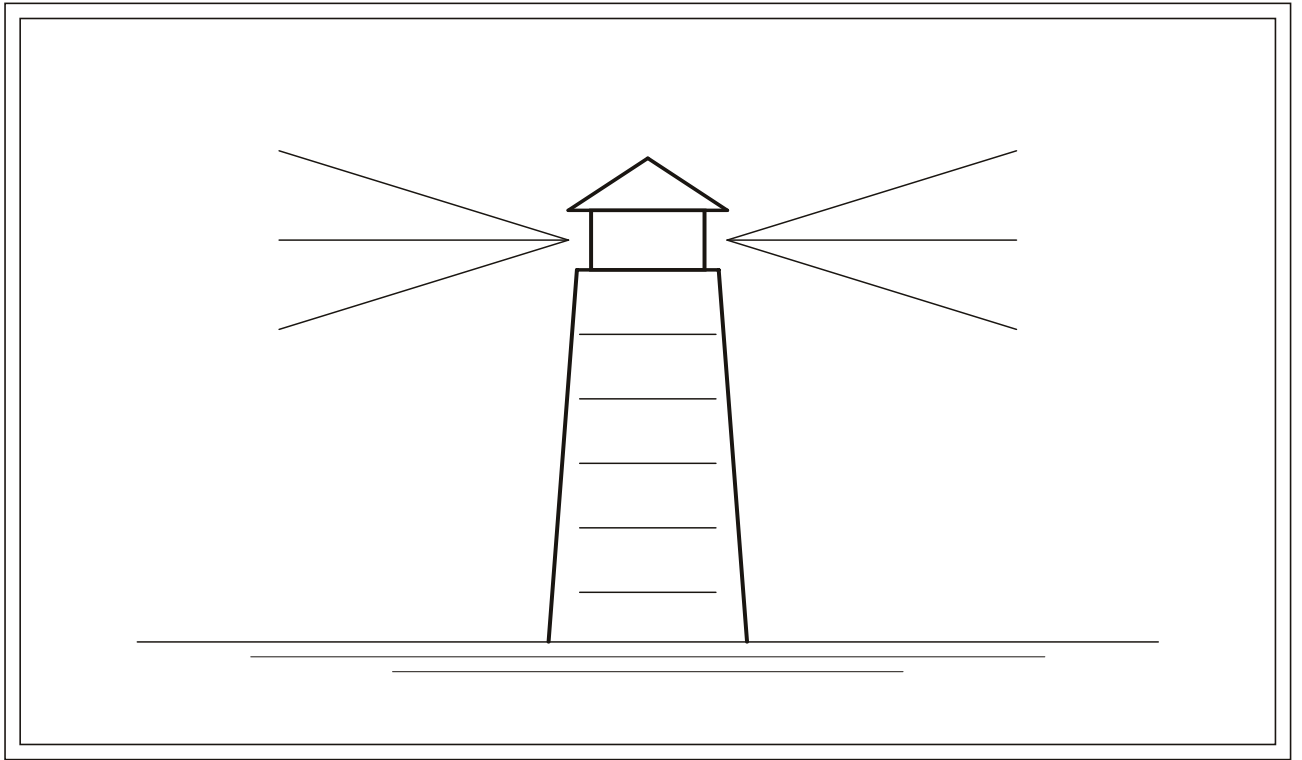


Plate III. [An engraving will be placed here.]

CHAPTER III

Business and Society

If a firm obeys every law, does it owe anyone anything more?



This chapter explains why business has duties beyond profit. It describes what a firm owes to society, to its suppliers, and to the people who own or depend on it, and how such a firm can be recognised.

A firm takes from society and should give back.

Social responsibility. The duty of a business to act in ways that benefit society as well as its owners.

Why firms accept such a duty.

GO SLOWLY HERE.

Honest goods, clean surroundings, safe work.

Suppliers are partners and should be paid fairly.

Supplier. A person or firm that sells materials or services to another business.

Many groups, not only owners, depend on the firm.

Investor. A person who puts money into a business expecting a return.

Stakeholder. Any person or group affected by what a business does.

THE IDEA OF RESPONSIBILITY

A firm uses roads, trained workers, clean water, and the trust of customers. Society supplies all of these, and no firm pays for them in full through taxes alone. This simple fact leads to a question that owners have debated for a long time: besides making profit, what does a firm owe in return?

The usual answer is called **social responsibility**. It means the duty of a business to act in ways that benefit society as well as its owners. It is often shortened to CSR, for corporate social responsibility. The duty goes beyond the law. A law sets the least a firm must do; responsibility describes what a good firm chooses to do.

There are three reasons to accept the duty. The first is **fairness**: a firm that takes from society should give back. The second is **self-interest**: customers and workers prefer a firm they trust, and a firm with a bad name loses sales. The third is **stability**: society that is healthy buys more and demands less control from government. Against this, some thinkers hold that managers should serve only owners. Milton Friedman argued this in a famous essay of 1970. Most writers today hold that a firm serves owners best by serving others well too.

Pause and check. Can you say, in one sentence, why a lawful firm might still be irresponsible? A firm may follow the law and still pollute where the law is weak, so the law alone is not a full guide.

TO SOCIETY AND THE ENVIRONMENT

To society as a whole, a firm owes honest products and honest advertising. It owes fair prices, and it should not hoard goods to raise prices. It owes care for the natural world: treating waste, saving power, and not poisoning water or air. It owes its **workers** safe buildings, fair wages, and reasonable hours, and its **community** such help as local schools, clinics, and jobs.

TO SUPPLIERS

A **supplier** is a person or firm that sells materials or services to another business. The bakery's flour merchant is a supplier. A responsible firm pays suppliers on the agreed day, keeps its promises on quantity and quality, and does not force prices so low that the supplier cannot survive. Late payment is a quiet harm: a small supplier waiting for money may be unable to pay his own workers.

TO INVESTORS AND OTHER STAKEHOLDERS

An **investor** is a person who puts money into a business expecting a return. The firm owes investors accurate accounts, honest reports, and careful use of their money. But investors are only one of several groups. A **stakeholder** is any person or group affected by what a business does. Owners, workers, customers, suppliers, lenders, government, and neighbours are all stakeholders. Each has a claim, and the claims sometimes conflict, so managers must weigh them.

How can we recognise a socially responsible firm? We look for signs: it tells the truth in advertising, keeps safe workplaces, pays taxes and bills promptly, limits harm to the environment, and publishes honest reports. Talk is not enough; the evidence is in conduct that can be checked.

TWO VIEWS OF RESPONSIBILITY

Thinkers have long disagreed. One view, set out by Milton Friedman in 1970, holds that the manager is the agent of the owners and should obey the law and increase profit, leaving charity and social aims to the owners as private persons. The opposing view holds that a firm works within society and must answer to every group it affects. Neither side denies that law must be obeyed. The dispute is over what lies beyond the law, and each student should weigh the reasons on both sides.

Most modern writers take a middle road, saying that responsibility is often a form of enlightened self-interest. A firm that wastes water may meet a future shortage; one that cheats its suppliers may find them gone when it needs credit. By looking after others, the firm looks after its own future.

Thinkers disagree about who the firm should serve.

A WORKED CASE

Situation. The Shapla Bakery uses plastic packs that cost Tk 1.00 each and sells 20,000 packs a month. A paper pack costs Tk 1.40, and some customers have asked for it. *Question.* Should the bakery change? *Reasoning.* The extra cost is 0.40 times 20,000, which is Tk 8,000 a month. Against this stand the gains: customers who value the change may buy more, the community has less plastic waste, and the owners avoid the risk of a future ban. The cost falls on the owners now; the gains are spread over time. *Conclusion.* A sensible choice is to change the pack gradually and to tell customers why. *Check.* Test the decision against each stakeholder: owners bear a small cost; customers and neighbours gain; suppliers of paper gain; no stakeholder is harmed. The test is passed.

Notice what the case does not say. It does not claim that the change will certainly pay for itself; it states a cost, a set of gains, and a reasoned judgement. Responsible decisions are seldom certain, but they can always be explained.

One decision tested against the stakeholders.

GO SLOWLY HERE.

DUTIES TO PARTICULAR GROUPS

Besides suppliers and investors, other groups have claims. **Employees** expect fair pay, safe work, and respect. **Consumers** expect goods that are safe and truthfully described, and a fair price. **Government** expects honest taxes and obedience to law. **Lenders** expect repayment on time. **The community** expects that the firm will not harm its health or its land. The table below sets out, for each area, a sign that a firm is meeting its duty and a warning sign that it is not.

SIGNS OF A RESPONSIBLE FIRM

Area	Sign of care	Warning sign
Workers	Safe buildings, fair pay	Locked exits, unpaid wages
Customers	Truthful labels	Hidden defects
Environment	Waste treated	Waste dumped in rivers
Government	Taxes paid on time	Records altered
Suppliers	Bills paid on the due day	Constant delay

The table is only a guide. A single sign does not prove that a firm is responsible, and a single warning does not prove the opposite. What matters is the pattern over time, and whether the firm corrects its faults when they are shown to it.

Each group asks something different of the firm.

Honest reports are the investor's protection.

DUTIES TO INVESTORS IN DETAIL

The firm's duty to investors can be set out in four parts. It must **tell the truth**: its accounts must show the real position, and an auditor must check them. It must **treat all shareholders fairly**, including small ones who have no seat on the board. It must **use their money for the purposes stated**, as in the prospectus. And it must **share profit fairly**, paying dividends where profit allows, while keeping enough in reserve to keep the firm secure. A firm that hides losses, or favours a few large shareholders, may win in the short run but loses the trust on which later fund-raising depends.

SUMMARY

Social responsibility means acting for the good of society beyond what the law requires. A firm owes duties to society, suppliers, investors, and all stakeholders. Responsible conduct also serves the firm's long-term interest.

THINK IT THROUGH

A garment owner can save money by skipping fire exits. List which stakeholders are affected, and say how profit now could cost the firm later.

WHERE PEOPLE GO WRONG

Many believe responsibility means giving to charity. Charity is one form, but responsibility lies mainly in how a firm earns its money. Another error is to equate investors with all stakeholders; investors are only one group.

IN HISTORY

On 24 April 2013 the Rana Plaza building near Dhaka collapsed. It housed garment factories, and more than 1,100 workers died. The disaster led to the Accord on Fire and Building Safety in Bangladesh, signed in May 2013 by many international buyers and trade unions. It shows what is at stake when safety is treated as a cost and not as a duty.

REVIEW QUESTIONS

(1) What is social responsibility, and why is it important? (2) What does a business owe to its suppliers? (3) Who are stakeholders? (4) How can a responsible firm be recognised?

KEY TERMS OF THIS CHAPTER

Social responsibility. The duty of a business to act in ways that benefit society as well as its owners. **Supplier.** A person or firm that sells materials or services to another business. **Investor.** A person who puts money into a business expecting a return. **Stakeholder.** Any person or group affected by what a business does.

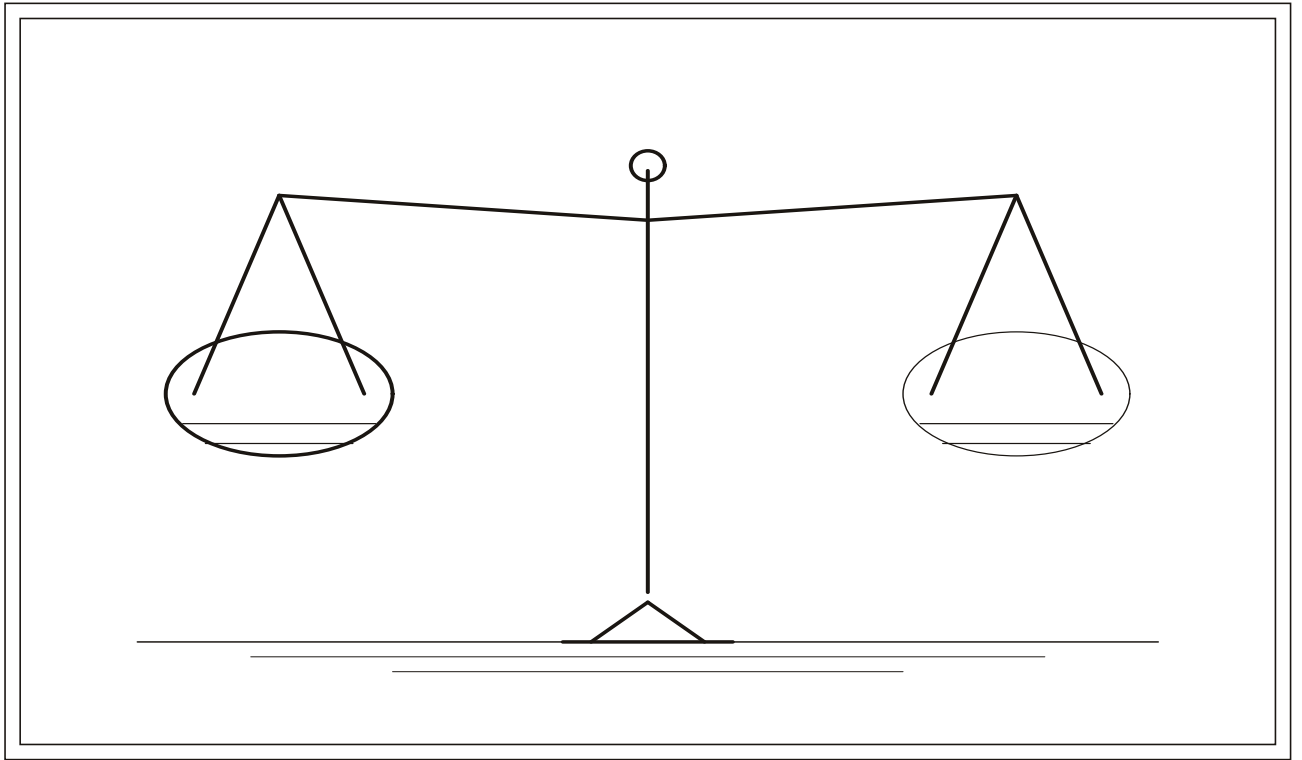


Plate IV. [An engraving will be placed here.]

CHAPTER IV

Who Owns the Business

Two friends, one oven, and the question of who answers for what.



This chapter explains the forms a business may take: the sole proprietor, the partnership, the company, the cooperative society, and the state enterprise. It compares their features, strengths, and risks, and shows how each is formed and managed.

Every business must decide who owns it.

Form of ownership. The legal type of a business, which decides who owns it, who controls it, and who bears its debts.

One owner holds all profit, control, and risk.

Sole proprietorship. A business owned, financed, and controlled by one person.

Its strengths follow from having one decision-maker.

Its weaknesses are risk, limited money, and fragility.

Unlimited liability. An owner's duty to pay the debts of the business from personal property if the business cannot.

GO SLOWLY HERE.

Partners join forces, and the law shapes the bargain.

Partnership. Two or more people running a business together and sharing its profits.

Firm. The partners taken together.

CHOOSING A FORM

Before Nasrin and Imran order a single sack of flour, they must settle one matter: whose business is it? If Nasrin alone owns it, she takes every profit and every debt. If the two own it together, they must agree on shares and on who decides. If they ask many people to put in money, they must answer to those people. The choice is called the form of ownership, and it shapes risk, money, control, and law.

A **form of ownership** means the legal type of a business, which decides who owns it, who controls it, and who bears its debts. Five forms are common in Bangladesh: the sole proprietorship, the partnership, the joint stock company, the cooperative society, and the state enterprise. We study each in turn, then compare them in one table. Three questions run through every section: who puts in the money, who takes the decisions, and who pays if the business fails.

THE SOLE PROPRIETORSHIP

A **sole proprietorship** is a business owned, financed, and controlled by one person. The owner is called the **proprietor**. The roadside vegetable seller, the village tailor, and the neighbourhood pharmacy are usually of this kind. Nothing special is needed to begin: apart from a trade licence from the local authority where required, the owner may start at once.

The form has real strengths. The owner decides quickly, because no one else must agree. The owner keeps all the profit. Secrecy is easy to keep, since no public accounts are demanded. The owner is close to customers and can answer their wishes quickly. Because it costs little to start and little to close, many people begin here.

Its weaknesses are equally clear. The owner has **unlimited liability**, which means a duty to pay the debts of the business from personal property if the business cannot. If the shop fails owing Tk 500,000, the creditors may take the owner's own savings or house. Capital is limited to what one person can raise or borrow. The business may end with the owner's death or illness, and one person's skills cannot cover every task.

Why then does this form survive, even next to giant companies? It survives where personal service matters, where demand is small or scattered, and where little capital is needed. A tailor, a barber, a small grocer, and a repair shop all depend on the owner's personal touch, which a large firm cannot easily copy. The form suits owners who value independence above growth.

THE PARTNERSHIP

Imagine that two friends, one skilled at baking and the other at selling, decide to open a small bakery together. Neither can afford the oven alone, and neither can run the shop alone. Before a single sack of flour is ordered, one question stands between them and their business: who owns what, and who answers for what?

The law gives the name **partnership** to such an arrangement. A partnership is a business owned by two or more people who have agreed to run it together and to share its profits. The people are called **partners**, and together they are called the **firm**.¹

¹ The firm is not a legal person separate from its partners; see the section on companies below, where the position differs.

In Bangladesh the matter is governed by the Partnership Act of 1932. It holds that a partnership arises from an agreement between people, and not from family status or from the mere fact that they own something together.² The number of partners is also limited by company law. For most businesses the limit is twenty, and for banking it is ten; readers should confirm the figure in the law now in force.

The law says a partnership begins with agreement.

WHAT THE AGREEMENT CONTAINS

The agreement may be spoken or written, but a written one, called the **partnership deed**, is wiser. It records what each partner contributes, how profits are divided, and what happens when a partner wishes to leave. Without such a record, every disagreement must be settled from memory, and memory is a poor witness.

Partnership deed. The written agreement setting out each partner's rights and duties.



Case file, illustrative. The first founder contributes the oven and most of the capital. The second contributes the recipes and the customers. They agree to divide profits equally, because each believes the other's part is worth the same. Imran puts in Tk 180,000, and Nasrin puts in Tk 120,000 and her recipes. Whether an equal split is fair, and what follows if the shop makes a loss, is what the rest of this section examines.

An illustrative case, not a real firm.

SHARING THE PROFITS AND THE DEBTS

Unless the agreement says otherwise, the law treats partners as sharing profits and losses equally, whatever each has put in. In the case file, if profit in the first year is Tk 90,000 and nothing else was agreed, each receives Tk 45,000, though Imran put in one and a half times as much money. This result shows why partners should write the share they intend.

Unless agreed otherwise, profits and losses are shared equally.

There is a second duty, and beginners often overlook it. Each partner is responsible, without limit, for the debts of the firm. If the firm cannot pay, its creditors may look to the personal property of any partner, and not only to what that partner invested. Moreover, every partner is the agent of the firm, so a contract made by one partner within the usual business binds the others.

GO SLOWLY HERE.
Each partner answers for all the firm's debts.

Before moving on. A partnership comes from agreement. A written deed prevents quarrels. Profits are shared equally unless agreed otherwise, and liability for debts is unlimited and shared.

THE DUTIES OF PARTNERS

The Act also imposes duties that exist even if the deed does not mention them. Partners must carry on the business to the greatest common advantage. They must be honest and faithful to one another. Each must give true accounts and full information to the others, and must not make a secret profit from the firm's affairs. A partner who competes against the firm in secret breaks these duties.

Partners owe each other good faith and honest accounts.

² The Partnership Act, 1932 (Act IX of 1932), sections 4 and 5.

KINDS OF PARTNER

Partners differ in work, visibility, and liability.

KINDS OF PARTNER

Kind	Meaning
Active partner	Takes part in running the business
Sleeping partner	Invests money but does not take part in management
Nominal partner	Lends his name but invests nothing, yet is liable to outsiders
Partner by holding out	Is not a partner, but acts or allows himself to be shown as one
Partner in profits only	Shares profit but does not share losses with the firm

The table shows that the word partner covers more than one position. An active partner works in the firm; a sleeping partner supplies money only. A nominal partner and a partner by holding out matter because outsiders may rely on appearances. If a person lets the public believe he is a partner, the law may hold him liable to those who trusted him, even though he took no profit. The lesson is to be careful with one's name.

STRENGTHS AND WEAKNESSES

Partnership brings money and skill, but also quarrels.

Among the strengths, a partnership can raise more money than one person, and combines different skills. Risk is shared, and decisions benefit from discussion. It is easy to form, and the law does not require public accounts. Among the weaknesses, liability is unlimited and joint, and disagreement between partners may harm the business. Capital remains limited compared with a company, and a partner cannot easily withdraw or transfer his share without the others' consent. Finally, the firm may end when a partner dies or leaves.

HOW A PARTNERSHIP ENDS

Dissolution means the end of the whole firm.

Dissolution. The ending of a partnership, so that the firm stops and its affairs are settled.

Dissolution means the ending of the partnership, so that the firm stops and its affairs are settled. Under the Act it may occur in several ways: by agreement of all partners; by notice, where the partnership has no fixed term; by contingencies such as the end of a fixed term, the completion of the venture, or the death or insolvency of a partner; compulsorily, where all partners but one become insolvent or the business becomes unlawful; or by order of a court, for example where a partner becomes of unsound mind or behaves in a way that harms the business. After dissolution the firm's assets pay its debts first, and any balance is shared among the partners.

SOLE PROPRIETOR OR PARTNERSHIP?

The difference lies in number, money, and risk.

SOLE PROPRIETORSHIP AND PARTNERSHIP COMPARED

Feature	Sole proprietorship	Partnership
Owners	One	Two or more
Basis	Owner's own decision	Agreement of partners
Capital	Limited to one person	Larger, from many partners
Decisions	Taken by one person	Shared, by agreement
Liability	Unlimited, one person	Unlimited, joint and several
Life	Ends with owner	May end with a partner's exit

THE JOINT STOCK COMPANY

Suppose Shapla Bakery succeeds and Nasrin and Imran wish to build ten shops. They need Tk 20 million, far more than two people can find. They cannot find it among ten friends. They may, however, find it among thousands of people, each putting in a small sum. This is the idea behind the joint stock company, and it explains the vast size of modern firms.

A **joint stock company** is a business whose capital is divided into shares and which the law treats as a person separate from its owners. A **share** is one equal part of the capital of a company. Those who hold shares are called **shareholders**. In Bangladesh such companies are formed and governed under the Companies Act, 1994, and are registered with the Registrar of Joint Stock Companies and Firms.

Three features set a company apart. First, it has a **separate legal personality**: it can own property, make contracts, and sue or be sued in its own name. Second, shareholders enjoy **limited liability**, meaning that a shareholder's duty is only to pay what remains unpaid on his shares. If the company fails, creditors cannot take a shareholder's house. Third, it has **perpetual succession**, meaning that the company continues when shareholders die or sell. These features make investors willing to give money without fear of ruin.

The Act recognises two main kinds. A **private company** limits its members and forbids any invitation to the public to buy its shares. A **public company** may invite the public to buy its shares. The two differ in several ways, which are set out below.

PRIVATE AND PUBLIC COMPANY COMPARED

Feature	Private company	Public company
Members	At least two, at most fifty	At least seven, no upper limit
Invitation to public	Forbidden	Allowed, by prospectus
Transfer of shares	Restricted by the articles	Free, subject to the articles
Directors	At least two	At least three
Start of business	On incorporation	After the certificate of commencement

The table gives the usual rules, which readers should check against the latest amendments of the Act. A private company suits a family firm that wishes to keep control. A public company suits a firm that needs large funds and accepts public scrutiny.

HOW A COMPANY IS FORMED

Forming a company follows an order. In the first stage, the **promoters**, the people who plan the company, decide the idea and gather the first funds. In the second, they prepare two documents. The **memorandum of association** states the company's name, its objects, its capital, and the liability of members; it fixes the outer limits of what the company may do. The **articles of association** set out the internal rules for managing it, such as how directors are chosen. The two are often confused: the memorandum says what the company is; the articles say how it is run.

A company raises money from many by selling shares.

Joint stock company. A business whose capital is divided into shares and which the law treats as a person separate from its owners.
Share. One equal part of the capital of a company.

GO SLOWLY HERE.

Limited liability. A shareholder's duty to pay no more of the company's debts than the unpaid amount on his shares.

Companies are either private or public.

Private company. A company that limits its members and forbids the sale of shares to the public.

Public company. A company that may invite the public to buy its shares.

Formation passes through four stages.

Memorandum of association. The document stating a company's name, objects, capital, and liability, which fixes its outer limits.

Articles of association. The document of internal rules by which a company is managed.

In the third stage, the documents are filed with the Registrar, together with the fees and the required declarations. If all is in order, the Registrar issues a **certificate of incorporation**, and from that day the company exists as a legal person. A private company may start business at once. A public company must, in the fourth stage, raise the minimum capital, and then obtain a **certificate of commencement** before it may begin.

Prospectus. A document by which a public company invites the public to buy its shares.

A public company that wishes to sell shares to the public issues a **prospectus**, a document by which it invites the public to buy its shares. The prospectus describes the company's objects, its capital, its directors, its plans, and the risks. Its main purpose is to give investors the truth, so that they can judge before they buy. A false statement in a prospectus may make those responsible liable to buyers.

Owners elect directors; directors appoint managers.

HOW A COMPANY IS MANAGED

Shareholders are numerous and cannot manage daily affairs. They therefore elect a **board of directors**, which sets policy and appoints the managers. Shareholders meet at least once a year, in the annual general meeting, where they receive the accounts and vote on the main matters. The separation of ownership from control is a great strength and also a great danger: managers may serve themselves instead of owners, and rules on honest reporting exist to prevent this.

Large funds and safety, against cost and distance.

STRENGTHS AND WEAKNESSES

The strengths are large capital, limited liability, continuity, and the ability to hire skilled managers. Shares can be sold, so investors can leave without ending the business. The weaknesses are the cost and time of formation, strict legal duties and public accounts, possible neglect of small shareholders, and the distance between owners and managers. Whether a company is the best form depends on need: for a tea stall it would be absurd, and for a power plant it is almost the only choice.

THE COOPERATIVE SOCIETY

Members join to help themselves, not to make others rich.

A fisherman who sells alone to a single merchant must accept the merchant's price. Fifty fishermen who sell together can bargain, and can share a boat and ice. This was the thought behind the cooperative society.

Cooperative society. A voluntary association of persons who join to meet common needs by working together on equal terms.

A **cooperative society** is a voluntary association of persons who join to meet common needs by working together on equal terms. Its main purpose is service to its members, and not profit for outside owners. In Bangladesh such societies are registered under the Cooperative Societies Act, 2001, with the Department of Cooperatives.

Members own the society and each has one vote.

Its working follows a clear pattern. Membership is open and voluntary. Each member holds one vote, whatever the number of shares held; this is the rule of democratic control. The members elect a managing committee, which employs the staff. Any surplus is not simply paid out by shares but is shared in proportion to each member's use of the society, after a part is saved for reserves and for education. Interest on shares is limited.

Cooperatives serve many needs in Bangladesh. **Credit societies** lend to members at fair rates. **Agricultural societies** help farmers buy seed and fertiliser and sell crops. **Marketing societies** sell members' produce together. **Consumer societies** buy goods in bulk for members. Fishing, weaving, and housing societies follow the same principles.

Their importance lies in helping the poor and the small producer, who alone have little power. Cooperatives teach habits of saving and common action, and they may lower the price of goods and raise the price of produce. Their weaknesses are limited funds, poor management, political interference, and the difficulty of securing active member participation.

THE PRINCIPLES

The International Co-operative Alliance has stated seven principles. These are voluntary and open membership; democratic control by members; members' economic participation; autonomy and independence; education, training, and information; cooperation among cooperatives; and concern for the community. They are a set of tests: a society that breaks them may still carry the name, but it does not follow the idea.

Seven principles guide cooperatives worldwide.

THE STATE ENTERPRISE

A **state enterprise** is a business owned, financed, and run by the government. Biman and the railway are well-known examples in Bangladesh. After independence, the government nationalised many industries under the Bangladesh Industrial Enterprises (Nationalisation) Order of 1972, and so the sector became large.

The state itself owns and runs the business.

State enterprise. A business owned, financed, and run by the government.

Three forms are common. A **departmental undertaking** is run directly by a government ministry as part of its work; Bangladesh Railway is an example. A **public corporation** is created by a special law, has its own legal personality and its own board, and is financed by the state; the Bangladesh Petroleum Corporation is one. A **government company** is registered under the Companies Act, with the government holding most or all of the shares, and it is run like any other company; Titas Gas is of this kind.

It takes three main forms.

Why should the state own businesses? Supporters give several reasons. Some activities, such as defence and railways, need very large funds that private owners will not risk. Others, such as water, power, and gas, are natural monopolies in which competition is wasteful. The state may also wish to guide the economy, provide jobs, protect strategic industries, and serve areas that private firms ignore because profit is low.

Why a state would own a business.

Critics reply that state enterprises are often inefficient. Managers may be chosen for political reasons and not for skill. Prices may be set below cost, so that losses are covered by taxpayers. Workers and managers have little reason to cut waste. The balanced view is that state ownership fits natural monopolies and strategic needs, while competitive trades are often better served by private firms. Each case should be judged by evidence of results.

COMPARING THE FORMS

THE FIVE FORMS COMPARED

One table brings the five forms together.

Feature	Sole	Partner	Company	Co-op	State
Owners	One	2 or more	Shareholders	Members	Government
Liability	Unlimited	Unlimited	Limited	Limited	Government
Control	Owner	Partners	Directors	Members, one vote each	Ministry or board
Capital	Smallest	Small	Largest	Modest	State funds
Main aim	Profit	Profit	Profit	Service	Public service

Reading across the table, we see a pattern. As the amount of capital grows, so does the distance between owner and manager, and so does the legal protection from debts. For the bakery, Nasrin and Imran begin as partners because they need two skills and little capital. If they expand to ten shops they will consider a private company, which keeps control with the two founders yet limits their risk.

FIELDS SUITED TO EACH FORM

The nature of the work suggests the form.

Experience suggests that the nature of the work often points to the form. The sole proprietorship suits small retail shops, repair work, personal services, and small farms, where the owner's care is the chief asset. The partnership suits professional firms and trading houses, where two or three persons bring different skills and mutual trust. The company suits manufacture, banking, and large trade, where capital is great and risk must be limited. The cooperative suits farmers, weavers, fishers, and wage earners who are weak when alone. The state enterprise suits defence, power, railways, and other services that the public needs but private owners may not provide.

THE DOCUMENTS OF A COMPANY

MEMORANDUM AND ARTICLES OF ASSOCIATION COMPARED

Two documents are easily confused.

Feature	Memorandum	Articles
Question answered	What is the company and what may it do?	How is the company to be run?
Content	Name, objects, capital, liability	Rules on meetings, directors, and shares
Standing	The higher document	Subordinate to the memorandum and the Act
Alteration	Difficult and limited	Easier, by vote of members

The table above sets the two documents side by side. If the articles conflict with the memorandum, the memorandum prevails, since it fixes the outer boundary within which the articles may operate. An act of the company that lies outside its stated objects is not binding on it. This rule protects investors, who can read the memorandum and learn what their money may be used for.

A company has two main ways to raise money from the public. By selling **shares**, it takes in owners who share in profit and risk. By issuing **debentures**, it takes a loan: a debenture is a written acknowledgement of a loan to a company, usually carrying fixed interest. A shareholder owns a part of the company, while a debenture holder is a creditor and must be repaid whatever the profit.

Shares and debentures raise money in different ways.

Debenture. A written acknowledgement of a loan to a company, usually carrying fixed interest.

COOPERATIVES IN BANGLADESH

The cooperative idea has a long history in Bengal. In the 1960s the Comilla experiment, led by the Pakistan Academy for Rural Development, organised farmers into village societies that shared credit, training, and equipment, and the model was studied across the developing world. Today societies work as credit unions, farmers' groups, weavers' groups, and consumer stores. Their main objectives are to provide cheap credit, to obtain fair prices for produce, to supply goods at fair cost, and to teach thrift and common action.

Cooperatives came to the village early.

In farm marketing the society has a special role. A single farmer who sells a small harvest to a local dealer has little power to bargain. A society can collect many small harvests, grade them, store them, find buyers, and share the better price among the members. It can also buy seed, fertiliser, and tools in bulk at a lower cost. The role is therefore both to sell better and to buy cheaper.

JUDGING STATE ENTERPRISE

Which fields suit state enterprise? Those where large funds and long delay make private investment unlikely, such as power stations and railways; those that supply a basic need to all, such as water; and those in which security or national interest is at stake. In Bangladesh, many state firms have lost money for years. Common causes are political appointments, weak accountability, prices fixed below cost, overstaffing, old machines, and delay in decisions. Where a firm is shielded from competition and from failure, it has little reason to improve.

Fields suited to state ownership, and why losses arise.

So, do we support state enterprise? A careful answer gives reasons on each side. The case for it rests on national needs, equal service, and guidance of the economy. The case against rests on waste, loss, and the weight laid on taxpayers. A reasoned view is that state ownership is justified where the public need is clear and private supply is absent, provided that the firm is run on commercial lines with clear targets and honest reporting. Where private firms can serve well, competition usually serves the public better.

A WORKED CASE: CHOOSING A FORM

Situation. Nasrin and Imran have Tk 300,000 between them, need two skills, and expect to borrow little. *Question.* Which form should the Shapla Bakery take? *Reasoning.* A sole proprietorship would give one of them all control but would leave the other without a share. A cooperative suits those who are weak alone and wish to serve members, not those who wish to earn a profit. A state enterprise is out of the question. A company would cost time and fees, and its public accounts are not needed at this size. A partnership needs little formality, brings both skills, and shares the risk. *Conclusion.* They choose a partnership with a written deed. *Check.* The choice fits the facts: two people, small capital, shared skills. The cost is that each partner is liable for all debts, so they agree to keep the debts small and review the form if they expand.

One decision tested against the five forms.

RIGHTS, REGISTRATION, AND FORMATION

Partners also hold rights.

Partners have rights as well as duties. Unless the deed says otherwise, each may take part in managing the business, may inspect and copy the books, shares the profit, and must be consulted before a new partner is admitted. A partner who pays more than his due share of the firm's debts may claim repayment from the others. **Registration** of the firm with the Registrar is not compulsory, but an unregistered firm may be unable to bring certain claims in court, which is a strong reason to register.

A cooperative is formed by members and approved by the state.

A cooperative society is formed when a group of persons with a common need agree on a set of rules, called by-laws, and apply to the registrar of cooperatives, who registers the society if the rules satisfy the Act. The members then hold a general meeting, elect the managing committee, and begin business. The society's affairs are open to inspection, and its accounts must be audited, so that members can check how their money is used.

STARTING A SOLE PROPRIETORSHIP

Starting is simple but not free of rules.

Starting a sole proprietorship needs few steps. The owner chooses the activity and a name, finds a place, gathers the money, and obtains the trade licence that the local authority requires. Where the business sells taxed goods or earns above the tax threshold, further registration for tax may follow, and the owner should ask the authorities what applies. Because no separate legal person exists, the owner signs in his own name and answers with his own property. For this reason a careful proprietor keeps business money apart from household money and writes down every sale.

HOW A COMPANY'S DIRECTORS WORK

Directors, chairman, and managers share the work.

In a company, the directors meet as a board, with a **chairman** to lead meetings. The board appoints a **managing director**, who runs the company from day to day and reports to the board. Each year the shareholders appoint **auditors**, independent accountants who check the accounts and report whether they give a true picture. The annual general meeting receives the accounts and the auditors' report, approves the dividend, and elects directors. These checks exist because the owners are many and distant: the auditor stands in for them.

SUMMARY

The form of ownership decides who owns, controls, and bears the risk. The sole proprietor holds all and risks all. Partners share both and are jointly liable under the Partnership Act. A company has its own legal personality and limited liability. A cooperative serves its members on the basis of one member, one vote. The state enterprise is owned by the government.

THINK IT THROUGH

Choose a form for each: a village tea stall, a five-person law practice, a new airline needing Tk 10 billion, and a group of rice farmers. Give one reason for each choice.

WHERE PEOPLE GO WRONG

Many students think a company and a firm are the same. A firm is only the partners together, and has no separate legal person; a company does. Others

think limited liability means a company never pays its debts. It means the shareholders are not personally liable beyond their shares.

IN HISTORY

In 1844, twenty-eight working people in the English town of Rochdale opened a small shop, the Rochdale Society of Equitable Pioneers. They pooled their savings, sold pure goods at fair weights, and gave each member one vote. Their rules became a model for cooperatives across the world, and the modern principles trace back to them. In Britain, the Limited Liability Act of 1855 and the Joint Stock Companies Act of 1856 gave ordinary companies the protection of limited liability.

SOURCES

Partnership: the Partnership Act, 1932. Companies: the Companies Act, 1994. Cooperatives: the Cooperative Societies Act, 2001; the International Co-operative Alliance statement of 1995. Nationalisation: President's Order No. 27 of 1972.

REVIEW QUESTIONS

(1) What is a sole proprietorship, and why does it survive? (2) Explain the advantages and disadvantages of partnership. (3) Distinguish a partnership from a sole proprietorship. (4) Describe the kinds of partner and the ways a partnership may end. (5) Distinguish private and public companies, and list the merits of a company. (6) Describe the formation of a company, and state what a prospectus and a certificate of commencement are. (7) How does a cooperative society work? (8) Describe the forms of state enterprise and say whether you support them.

KEY TERMS OF THIS CHAPTER

Form of ownership. The legal type of a business, which decides who owns it, who controls it, and who bears its debts. **Sole proprietorship.** A business owned, financed, and controlled by one person. **Unlimited liability.** An owner's duty to pay the debts of the business from personal property if the business cannot. **Partnership.** Two or more people running a business together and sharing its profits. **Firm.** The partners taken together. **Partnership deed.** The written agreement setting out each partner's rights and duties. **Dissolution.** The ending of a partnership, so that the firm stops and its affairs are settled. **Joint stock company.** A business whose capital is divided into shares and which the law treats as a person separate from its owners. **Share.** One equal part of the capital of a company. **Limited liability.** A shareholder's duty to pay no more of the company's debts than the unpaid amount on his shares. **Private company.** A company that limits its members and forbids the sale of shares to the public. **Public company.** A company that may invite the public to buy its shares. **Memorandum of association.** The document stating a company's name, objects, capital, and liability, which fixes its outer limits. **Articles of association.** The document of internal rules by which a company is managed. **Prospectus.** A document by which a public company invites the public to buy its shares. **Cooperative society.** A voluntary association of persons who join to meet common needs by working together on equal terms. **State enterprise.** A business owned, financed, and run by the government. **Debenture.** A written acknowledgement of a loan to a company, usually carrying fixed interest.

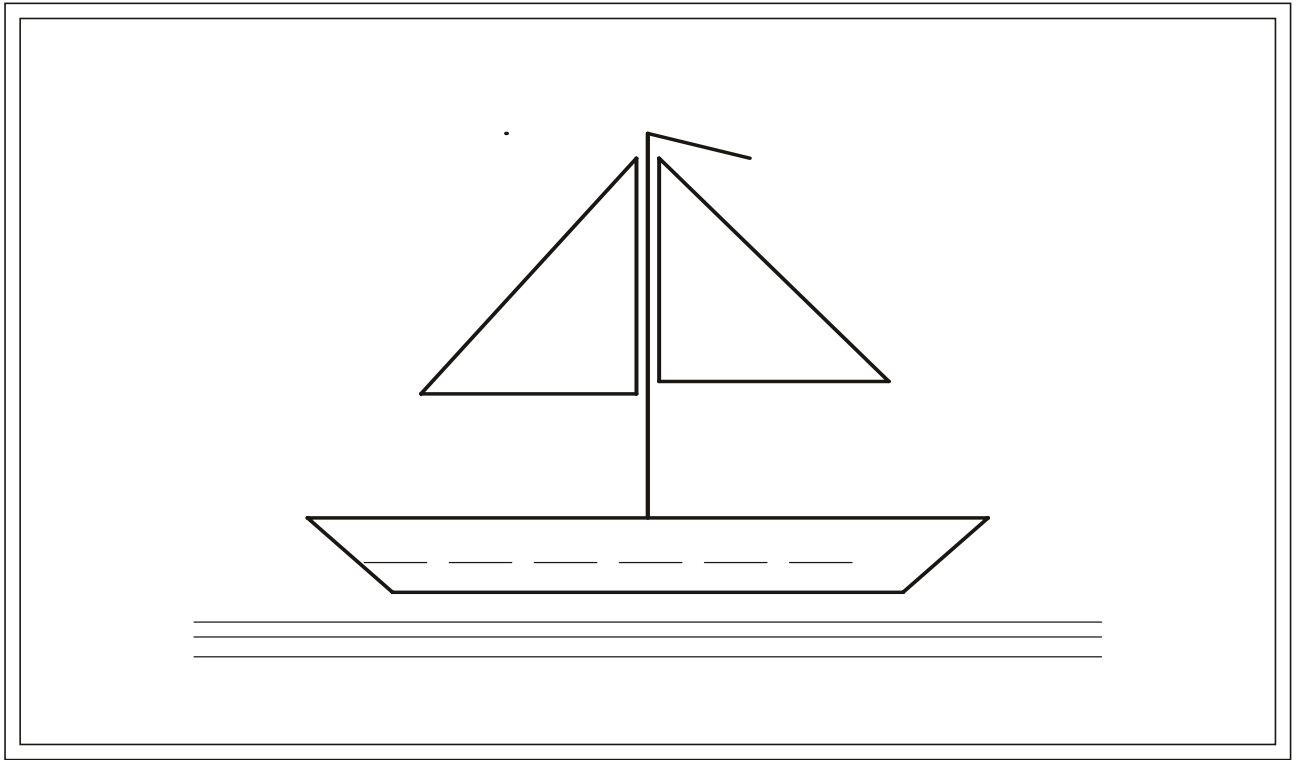


Plate V. [An engraving will be placed here.]

CHAPTER V

Trading Across Borders

Why does a nation sell what it could keep, and buy what it could make?



This chapter explains why nations trade, how trade between them is measured, and why it matters. It follows an export and an import step by step, names the documents used, and ends with the barriers that hinder Bangladesh and the means of promoting its exports.

No country has everything it needs.

Foreign trade. The buying and selling of goods and services between people in different countries.

Export. To sell goods or services to a buyer in another country.

Import. To buy goods or services from a seller in another country.

Differences of resources and skill cause trade.

Two accounts show how a country trades.

Balance of trade. The difference between the value of a country's exports and the value of its imports of goods.

Balance of payments. A record of all money that enters and leaves a country in a period, for goods, services, and capital.

GO SLOWLY HERE.

Trade brings income, goods, jobs, and learning.

WHY NATIONS TRADE

Bangladesh grows rice and jute in abundance but has little oil or cotton of its own. Another country may have the opposite. If each tried to make everything, each would make some things badly and dearly. If each makes what it does best and swaps the rest, both can be better off. This simple thought explains most trade between nations.

Foreign trade means the buying and selling of goods and services between people in different countries. To **export** is to sell to a buyer abroad; to **import** is to buy from a seller abroad. A country exports and imports at the same time, and so the two words describe the two directions of one activity.

Nations trade for three main reasons. Their **resources** differ: climate, minerals, and land are unevenly spread. Their **skills and costs** differ: one country may make shirts cheaply because of its trained workers, another may make machines. Their **needs** differ: a nation with a large population may need more food or fuel than it can produce. Trade lets each country use its strengths and fill its gaps.

MEASURING TRADE

How do we know whether a country is trading well? We measure it in two ways. The **balance of trade** is the difference between the value of a country's exports and the value of its imports of goods. If exports exceed imports, the balance is a **surplus**; if imports exceed exports, it is a **deficit**. The **balance of payments** is a wider record of all money that enters and leaves a country in a period. It includes goods, services such as shipping and tourism, money sent home by workers abroad, and the flow of loans and investment.

A small example shows the difference. Suppose a country exports goods worth Tk 400 billion and imports goods worth Tk 520 billion. Its balance of trade is 400 minus 520, which is a deficit of Tk 120 billion. If the same country receives Tk 90 billion from workers abroad and Tk 30 billion from services, the deficit in its wider account is smaller. Money from workers abroad matters greatly to Bangladesh and appears in the balance of payments, but not in the balance of trade.

Before moving on. The balance of trade compares goods exported and imported. The balance of payments counts all money flows, including services and capital. A deficit in one need not mean a deficit in the other.

WHY FOREIGN TRADE MATTERS

Foreign trade matters for several reasons. It earns **foreign currency**, which a country needs to pay for imported fuel, machines, and medicines. It widens the **market** for producers, so that factories can grow beyond what home buyers would absorb, and it creates **employment**, as the garment industry has done for millions of workers. It brings **variety and lower prices** to consumers. It spreads **knowledge and technology**. Finally, it encourages efficiency, since firms that sell abroad must meet world standards of price and quality.

There are risks as well. A country that depends on one export is exposed when the price falls or buyers turn away. Heavy imports may harm local

producers. Trade policy is therefore a balance between the gains of openness and the need to protect vulnerable groups.

THE EXPORT PROCEDURE

Exporting looks like a single act but is a chain of steps, each with its own paper. Imagine that the Shapla Bakery, now a registered firm, wins an order to send packed biscuits to a shop in Dubai. The steps below follow that order. Procedures change, so a real exporter should check the rules in force with the authorities and the bank.

First, the exporter registers with the proper authority and obtains the licences the trade requires. Second, the buyer sends an enquiry, and the exporter replies with a **proforma invoice**, a statement of the goods, quantity, and price offered. Third, if the buyer agrees, the buyer asks a bank to open a **letter of credit**, which is a bank's written promise to pay the seller if the seller presents the documents the buyer has named. The seller's bank informs the exporter, who checks that its terms can be met.

Fourth, the exporter makes or collects the goods, inspects them, and packs and marks them. Fifth, space is booked on a ship or aircraft, and insurance is arranged if the price terms require it. Sixth, the goods and papers are presented to **customs**, the government service that checks and permits goods leaving or entering the country. Seventh, the goods are loaded, and the carrier issues a **bill of lading**. Eighth, the exporter gathers the documents the letter of credit demands and gives them to its bank. The bank checks them and, if they are in order, pays the exporter or collects the money from the buyer's bank.

DOCUMENTS USED IN EXPORT

PRINCIPAL EXPORT AND IMPORT DOCUMENTS

Document	Purpose
Proforma invoice	Offer of goods and price before the order
Letter of credit	Bank's promise to pay against documents
Commercial invoice	Bill for the goods actually sent
Packing list	Contents of each package
Bill of lading	Receipt for goods, and proof of the contract of carriage
Certificate of origin	States the country where the goods were made
Insurance policy	Cover against loss in transit
Bill of exchange	Written order to pay a sum on a stated date
Bill of entry	Importer's declaration to customs

THE IMPORT PROCEDURE

Importing follows a similar chain from the other side. The importer first registers and obtains any licence required. The importer then places an order, often called an **indent**, with the foreign seller and asks a bank to open a letter of credit in the seller's favour. The seller ships the goods, and sends the documents through banks. The importer pays or accepts the bill of exchange to receive the documents. When the ship arrives, a clearing agent prepares the **bill of entry**, the importer's declaration to customs; the duties are paid, the goods are checked, and a delivery order permits the importer to take them from the port.

An export passes through a fixed sequence of steps.

Letter of credit. A bank's written promise to pay the seller if the seller presents the documents the buyer has named.

Each paper has one clear purpose.

Importing reverses the chain and ends with customs.

GO SLOWLY HERE.

Charter party. A contract by which a shipowner hires out a whole ship, or part of it, to a merchant.

Two shipping documents are often confused. A **bill of lading** is issued by the carrier for goods actually loaded; it is a receipt, evidence of the contract, and a document of title that lets the holder claim the goods. A **charter party** is a contract by which a shipowner hires out a whole ship, or part of it, to a merchant. Think of a bus ticket and a hired bus: the bill of lading is the ticket for one parcel, while the charter party hires the entire vessel.

BARRIERS TO EXPORT

Barriers lie abroad and at home.

Exporters meet barriers on both sides of the border. Abroad, buyers' countries may charge **tariffs**, which are taxes on imported goods, or set **quotas**, which limit quantities, or demand strict standards of safety and quality. At home, Bangladesh faces its own difficulties. Its exports depend heavily on ready-made garments, so a fall in that trade harms the whole economy. Ports and roads are crowded and slow, power may be unreliable, and procedures involve many offices. Finance is costly for small firms, and skills in design and quality control are scarce. Lack of certified quality keeps many local products from rich markets.

PROMOTING EXPORTS

Government and world bodies both help.

The government of Bangladesh supports exporters in several ways. The Export Promotion Bureau helps firms to find buyers and take part in trade fairs. Export processing zones give foreign and local firms tax relief and ready facilities. Cash incentives, **duty drawback** (the return of duty paid on imported materials that are then re-exported), and **bonded warehouses** (stores where materials are held without duty until used for export) lower costs. Loans on easy terms and export credit insurance reduce risk.

International bodies also help. The World Trade Organization, formed in 1995, sets rules that limit unfair barriers among its members. Regional pacts such as the South Asian Free Trade Area lower tariffs among neighbours. Rich countries have also granted lower duties to the poorest nations; the European Union's scheme of 2001 allowed duty-free entry to nearly all goods from the least developed countries except arms. A wise exporter uses these helps while widening the range of what it sells.

TERMS OF SALE AND PAYMENT

Price terms say who pays for the journey.

FOB. Free on board: the seller pays until the goods are loaded on the ship; the buyer pays the rest.

CIF. Cost, insurance, and freight: the seller pays for the goods, insurance, and carriage to the buyer's port.

Payment is arranged to protect both sides.

Exporter and importer must agree who pays for carriage and insurance. Two price terms are in wide use. **FOB**, meaning free on board, means that the seller pays until the goods are loaded on the ship, and the buyer pays the rest. **CIF**, meaning cost, insurance, and freight, means that the seller pays for the goods, for insurance, and for carriage to the buyer's port. A CIF price is higher than an FOB price for the same goods, because it includes more costs.

Sellers and buyers in different countries may not know one another, so payment is arranged with care. The safest method for the seller is the letter of credit, since the bank's promise replaces the buyer's word. A cheaper method is **documentary collection**, in which the seller's bank sends the documents to the buyer's bank, and the buyer receives them only on payment or acceptance of a bill of exchange. For trusted buyers, **open account** lets the buyer receive the goods first and pay later. Each method trades safety against cost.

A WORKED EXAMPLE: THE COST OF AN IMPORT

Given. The bakery imports a second, larger oven. The price on an FOB basis is Tk 400,000. Freight is Tk 30,000 and insurance is Tk 5,000. Customs duty, for this illustration, is 25 per cent of the CIF value. *Find.* The total cost of the oven to the bakery, before other charges. *Formula.* In words: CIF value equals FOB price plus freight plus insurance; duty equals the rate times the CIF value; total cost equals CIF value plus duty. *Steps.* CIF value = 400,000 + 30,000 + 5,000 = Tk 435,000. Duty = 25 divided by 100, times 435,000 = Tk 108,750. Total cost = 435,000 + 108,750 = Tk 543,750. *Answer.* The second oven costs the bakery Tk 543,750 before clearing fees. *Check.* The duty is a quarter of 435,000, and a quarter of 440,000 is 110,000, so Tk 108,750 is reasonable.

Customs duty is charged on the landed value.

A common slip is to charge the duty on the FOB price alone, which understates the tax. Another is to forget that the rate is a figure for illustration; real rates change with the product and with government policy, and must be checked.

THE ROLE OF BANKS AND CUSTOMS

Two public gatekeepers stand in every trade. The **bank** opens letters of credit, examines documents, and transfers money across borders, and so makes it possible for strangers to trade. **Customs** checks that goods match the papers, collects duty, and prevents illegal goods from moving. A trader who learns what each requires, and prepares the papers in advance, avoids the delays that damage the reputation of exporters.

Banks pay; customs control.

BANGLADESH IN WORLD TRADE

Ready-made garments make up the larger part of Bangladesh's exports. Other products sold abroad include jute and jute goods, leather goods, frozen food, and some medicines. The country also depends on money sent home by its workers abroad, which counts in the balance of payments. Because one product carries so much weight, a fall in demand for garments would be felt across the economy. For that reason policy-makers speak often of widening the range of exports and of finding new markets.

One product dominates, and others are growing.

Pause and check. Can you explain why a bank's letter of credit protects the seller? It does so by replacing the buyer's promise, which the seller may not be able to check, with the promise of a bank, which the seller can rely on if the papers are in order.

THE LETTER OF CREDIT IN DETAIL

The letter of credit deserves a closer look, because most trade between strangers depends on it. Four parties take part. The **applicant** is the importer who asks the bank to open it. The **issuing bank** is that bank, which promises to pay. The **advising bank** is a bank in the exporter's country that tells the exporter the credit has been opened. The **beneficiary** is the exporter, who is to be paid. The exporter ships the goods and presents the documents the credit names. If every document matches the terms exactly, the bank pays; if even one differs, the bank may refuse.

Four parties share one letter of credit.

A credit is **irrevocable** when it cannot be changed or cancelled without the agreement of all parties, and this is the usual kind. A credit payable **at sight** is

GO SLOWLY HERE.

paid as soon as the documents are found in order; one payable after a stated period lets the buyer pay later. In the garment trade, an exporter often needs fabric from abroad. The exporter's bank may then open a **back-to-back** credit in favour of the fabric supplier, on the strength of the original credit received from the buyer. The system lets a firm with little cash take on a large order.

PROMOTION STRATEGIES FOR BANGLADESH

Widen products, markets, and skills together.

What should Bangladesh do to raise its exports? Experts usually name a set of linked strategies. The first is **product diversification**: to add goods such as processed food, leather goods, light engineering, and medicines to the garments that dominate. The second is **market diversification**: to sell in more countries, so that a fall in one market does little harm. The third is **quality and compliance**: to meet foreign standards of safety, labour, and the environment, and to hold the certificates that buyers ask for. The fourth is **skill and design**, so that firms earn more from each item and not only from low cost.

The fifth is **infrastructure**: faster ports, reliable power, and simpler customs procedures lower costs and shorten delivery times. The sixth is **finance**: credit on fair terms and export credit insurance help small firms. The seventh is **trade agreements**, which open markets by lowering tariffs. The eighth is **branding**, since a country that is known for quality can win better prices. None of these works alone, and the strategies take years to bear fruit, which is why steady policy matters more than sudden measures.

SUMMARY

Nations trade because resources, skills, and needs differ. The balance of trade compares goods; the balance of payments counts all money flows. Exporting and importing follow steps that use set documents. Bangladesh faces barriers at home and abroad and supports its exporters by institutions, incentives, and world agreements.

THINK IT THROUGH

List the documents the bakery needs to send biscuits to Dubai, in the order they are used. Say which one the bank will insist on seeing before it pays.

WHERE PEOPLE GO WRONG

Many confuse the balance of trade with the balance of payments. The first counts goods only; the second counts everything. Students also treat a bill of lading as a charter party, but one is a receipt for goods and the other is the hire of a ship.

IN HISTORY

Ready-made garment exports from Bangladesh began in the late 1970s, when a small firm, Desh Garments, trained workers with a Korean partner and sent its first shipments abroad. In the decades since, garments have come to make up most of the country's exports. The story shows how one export, begun on a small scale, can reshape a nation's trade, and also how risky it is to depend on one product.

REVIEW QUESTIONS

(1) Why do nations trade? (2) Distinguish the balance of trade from the balance of payments. (3) Why is foreign trade important? (4) Describe the export procedure and the import procedure. (5) Name the documents used in export and

import. (6) What barriers hinder Bangladesh's exports, and how can they be promoted?

KEY TERMS OF THIS CHAPTER

Foreign trade. The buying and selling of goods and services between people in different countries. **Export.** To sell goods or services to a buyer in another country. **Import.** To buy goods or services from a seller in another country.

Balance of trade. The difference between the value of a country's exports and the value of its imports of goods. **Balance of payments.** A record of all money that enters and leaves a country in a period, for goods, services, and capital.

Letter of credit. A bank's written promise to pay the seller if the seller presents the documents the buyer has named. **Charter party.** A contract by which a shipowner hires out a whole ship, or part of it, to a merchant. **FOB.** Free on board: the seller pays until the goods are loaded on the ship; the buyer pays the rest. **CIF.** Cost, insurance, and freight: the seller pays for the goods, insurance, and carriage to the buyer's port.

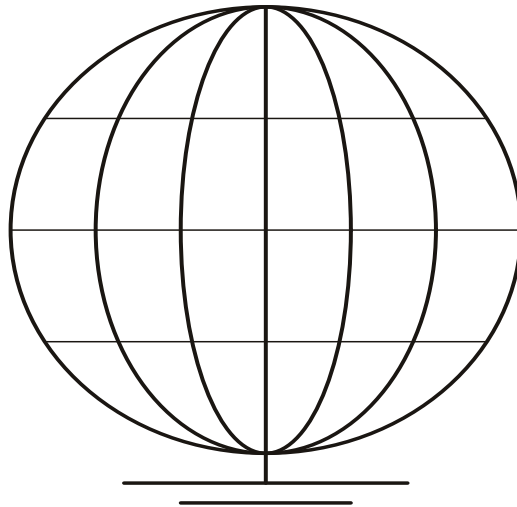


Plate VI. [An engraving will be placed here.]

CHAPTER VI

Firms Without Borders

How can one company be at home in fifty countries and a stranger in none?



This chapter explains what a multinational corporation is, how it staffs its offices, why it is valued, and what harm it can do to the country that receives it. It ends with a look at Bangladesh.

A firm that works in many countries at once.

Multinational corporation. A large firm that owns and runs business operations in more than one country, under central control.

MNCs staff their branches from three groups.

PCN, HCN, TCN.

Parent-country, host-country, and third-country nationals: staff from the home country, the host country, or another country.

Home and host both seek gain.

Gains come with risks that a host must watch.

THE MULTINATIONAL CORPORATION

Many of the soaps, phones, and drinks sold in Dhaka belong to firms whose head offices stand thousands of miles away. Their names are known in every country, yet each firm is run as one organisation from one centre. Such firms have changed trade, work, and politics in the modern world, and they raise questions every student of business should be able to answer.

A **multinational corporation**, or MNC, is a large firm that owns and runs business operations in more than one country, under central control. The word owns matters: an MNC does not merely sell abroad, as an exporter does, but owns factories, offices, or shops there. The country where its head office stands is the **home country**. Each country in which it operates abroad is a **host country**.

An MNC must choose whom to employ abroad. A **parent country national (PCN)** comes from the home country, and brings knowledge of the head office. A **host country national (HCN)** comes from the country where the branch stands, and knows its language, law, and customs. A **third country national (TCN)** comes from neither, for example a Singaporean manager sent to run an office in Dhaka for a British firm. Each choice has a cost: PCNs are costly to move, HCNs may know the firm less well, and TCNs may be strangers to both sides.

WHY MNCS ARE VALUED

Firms become multinational for good reasons. They find new markets when the home market is full. They reach cheaper labour, materials, or land, and escape high trade barriers by producing inside the country they wish to sell to. They also spread risk, since a fall in one country may be offset by a rise in another. For the host country, the gains are equally clear.

First, MNCs bring **capital** that a developing country may lack. Second, they bring **technology and skills**, and train local workers. Third, they create **jobs**, both directly and in supplying firms. Fourth, they add to **exports** and to government **revenue** through taxes. Fifth, they widen **choice** for consumers and set standards of quality that local firms may follow. Telecommunications in Bangladesh grew quickly after MNC investment in the 1990s, and the firms that arrived trained thousands of staff.

HOW MNCS MAY HARM THE HOST COUNTRY

The picture is not one-sided. Critics point to several harms. MNCs may drive out small local firms, which cannot match their size. They may send most profits home, so that less is reinvested. They may use their power to press governments for favours, or avoid taxes by moving profits between countries. They may bring methods that damage the environment, or products unsuited to local needs. Some use technology that saves labour where jobs are scarce. Finally, a host may come to depend on a few foreign firms, and so lose control over its own economy.

A host government can reduce the harm by clear laws on tax, labour, and the environment, by requiring training of local staff, and by encouraging joint ventures with local firms. Experience suggests that benefits flow most where the host is a careful bargainer.

MNCS AND BANGLADESH

In Bangladesh, MNCs work in telecommunications, consumer goods, energy, and banking, among others. Unilever and Grameenphone are well-known names. They have provided capital and skills, and have set standards in marketing and service. At the same time, the government and the public ask whether profits stay in the country and whether local firms can grow beside them. The questions are fair ones, and good policy needs facts on both sides.

Bangladesh has gained from MNCs and also watched them closely.

A WORKED EXAMPLE: WHERE THE PROFIT GOES

Given. A foreign firm's branch in Bangladesh earns a profit of Tk 100 million after tax. The head office takes 60 per cent as dividend and leaves the rest in the country. *Find.* How much stays and how much leaves. *Formula.* Amount sent abroad equals share sent times profit; amount kept equals profit minus amount sent. *Steps.* Sent abroad = 60 divided by 100, times 100 million = Tk 60 million. Kept = 100 million minus 60 million = Tk 40 million. *Answer.* Tk 60 million leaves and Tk 40 million stays. *Check.* The two parts add up to Tk 100 million.

Simple arithmetic shows what the host keeps.

The figure is only a part of the story. The branch also paid wages and bought local materials, and these payments stayed in the country. A fair view therefore compares what leaves with what the branch spent and taxed at home.

WHY FIRMS GO ABROAD

It is worth asking why a firm leaves home at all. Costs may be lower abroad, or the home market may be saturated. Trade barriers may make export costly, so that producing inside the host country is cheaper. A firm may follow its customers or suppliers into a new country. A firm with a brand or a technique that rivals cannot copy may gain by using it in many countries. The host country in turn compares such gains with the costs listed earlier.

Home and host each have reasons.

THE FEATURES OF AN MNC

Several features mark a multinational. It is **very large**, with money and staff that exceed those of many small countries. It works under **central control**: major decisions are made at head office, though local managers run daily affairs. It **sells widely** and uses the same brand in many places. It uses **advanced technology** and spends heavily on research. It can **move** production to wherever cost is lowest. These strengths explain why host governments both welcome and fear it. A host that offers a stable law and trained workers will attract investment, but must also have the means to enforce its own rules.

Size and central control mark an MNC.

GAINS FOR THE HOME COUNTRY

Attention usually falls on the host country, but the home country gains also. Profits flow home as dividends. Head-office work, such as research and finance, keeps skilled people in work. Sales of parts and machines to branches abroad support home factories. Critics at home add that jobs may move abroad, and that firms may escape home taxes. Both countries therefore weigh gain against loss, and a student should learn to look at the question from each side.

The home country gains too.

Pause and check. Can you say why a government might ask an MNC to train local workers? Training spreads skills that remain in the country after the firm leaves, and so makes the gain last.

The effect depends on how the host bargains.

THE EFFECT ON BANGLADESH

What has been the effect of MNCs on a developing country like Bangladesh? The gains include jobs in export zones and in telecommunications, new technology, training for managers, and tax revenue. The costs include pressure on small local firms, the outflow of profits, and the risk that foreign firms may leave when costs rise elsewhere. Experience suggests three lessons. A clear and stable investment law makes the country more attractive. Rules that ask firms to train local staff and to use local suppliers spread the gains. And a regulator that can enforce tax and environmental laws turns a foreign firm from a risk into a partner.

SUMMARY

An MNC owns operations in several countries and is run from a home country. It staffs branches with parent, host, and third country nationals. It brings capital, skills, jobs, and revenue, but may crush local firms, send profits abroad, and weaken national control.

THINK IT THROUGH

A foreign soap maker offers to build a factory in your district. List three questions the local council should ask before agreeing.

WHERE PEOPLE GO WRONG

A firm that only exports is not an MNC; the test is ownership of operations abroad. Others assume MNCs are always harmful or always helpful. The truth depends on the rules the host sets.

IN HISTORY

The English East India Company received its royal charter on 31 December 1600. It began as a trading company and came to hold territory, armies, and offices across Asia, including Bengal. It is often called an ancestor of the great trading corporations, and its history shows both the power such a firm may gain and the need for the host people to hold it to account.

REVIEW QUESTIONS

(1) What is a multinational corporation? (2) What do the terms home country and host country mean? (3) Explain PCN, HCN, and TCN. (4) Why does the world need MNCs? (5) How do they create problems for host countries?

KEY TERMS OF THIS CHAPTER

Multinational corporation. A large firm that owns and runs business operations in more than one country, under central control. **PCN, HCN, TCN.** Parent-country, host-country, and third-country nationals: staff from the home country, the host country, or another country.

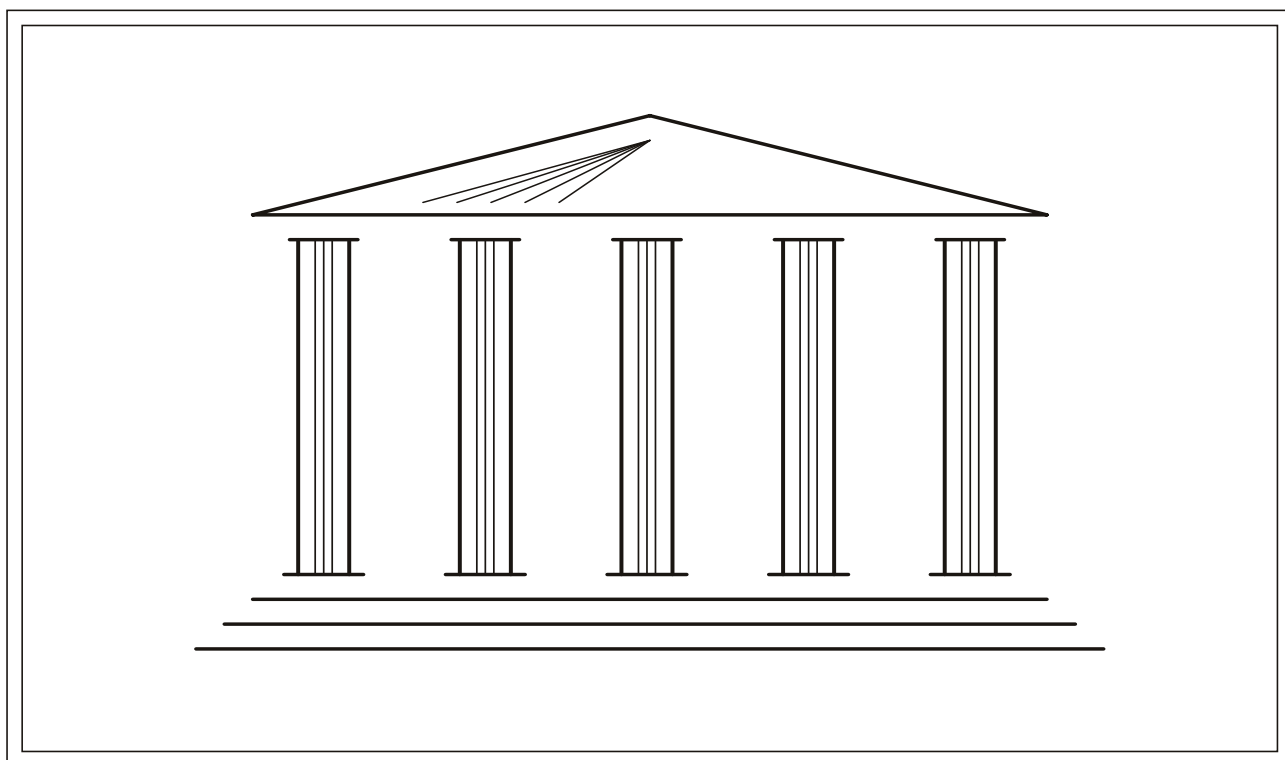


Plate VII. [An engraving will be placed here.]

CHAPTER VII

Markets and Institutions

Who watches over the market where the bakery sells its shares?



This chapter explains how a share market works and what an initial public offering is. It then describes the institutions that regulate, promote, and support business in Bangladesh, from the securities regulator to the chambers of commerce.

Shares are bought and sold in a market.

Share market. A market in which shares of companies are bought and sold.

Two types of share suit two types of investor.

Ordinary share. A share whose holder receives a dividend that depends on profit and has voting rights.

Preference share. A share whose holder is paid a fixed dividend before ordinary shareholders and usually has no vote.

An IPO is a company's first sale to the public.

Initial public offering. The first sale of a company's shares to the general public.

GO SLOWLY HERE.

One body makes the rules; another runs the trading.

Bangladesh Securities and Exchange Commission. The state regulator of the securities market, set up under the Securities and Exchange Commission Act, 1993.

Dhaka Stock Exchange. The principal exchange of Bangladesh, where listed shares are traded.

THE SHARE MARKET

When the bakery grows into a public company, the founders will wish to sell shares to the public. Buyers, however, will only buy if they can sell again later. A place where this is possible is needed, and it is called the share market.

The **share market**, also called the stock market, is a market in which shares of companies are bought and sold. It has two parts. In the **primary market**, a company sells new shares for the first time to raise money; the money goes to the company. In the **secondary market**, investors trade shares among themselves; the money goes to the sellers, not to the company. A healthy secondary market gives the primary market its confidence, because buyers know they can sell later.

Companies issue shares of two main kinds. The holder of an **ordinary share** receives a dividend that depends on profit, and has voting rights. A **dividend** is the part of profit paid to shareholders. The holder of a **preference share** is paid a fixed dividend before ordinary shareholders, and usually has no vote. Which is better for an investor? Preference shares suit a person who wants steady income and little risk; ordinary shares suit a person who accepts risk for the chance of larger gains.

THE INITIAL PUBLIC OFFERING

An **initial public offering**, or IPO, is the first sale of a company's shares to the general public. A company makes one to raise capital for growth, to repay loans, or to give early investors a way out. The steps are in order. The company asks the regulator for approval and issues a prospectus. Investors apply for shares; a price is set either at a fixed figure or by collecting bids from large investors. If applications exceed the shares offered, the shares are allotted by a fair method. Finally the shares are listed on the exchange, and trading begins.

Why does the law demand so much? An IPO asks ordinary savers to trust a company they know little about. The prospectus, the approval, and the rules of disclosure exist to give them the facts, and to punish false claims.

THE REGULATOR AND THE EXCHANGE

The **Bangladesh Securities and Exchange Commission (BSEC)** is the state regulator of the securities market, set up under the Securities and Exchange Commission Act, 1993. It approves IPOs, supervises the exchanges and brokers, punishes fraud, and works to protect investors. A regulator is like a referee: it does not play, but it sees that the game is fair.

The **Dhaka Stock Exchange (DSE)** is the principal exchange of Bangladesh. It began in 1954 and later took its present name. Its functions are several. It provides a **market place**, an organised system where buyers and sellers meet through licensed brokers. It **lists** companies that meet its conditions, and so tells the public which are fit to trade. It sets **trading rules** and settles trades, so that buyers receive shares and sellers receive money. It publishes **prices and information**, which show what the market thinks a share is worth. It watches for **unfair practice** and helps channel savings into business. The Chittagong Stock Exchange, set up in 1995, works beside it.

BODIES THAT PROMOTE BUSINESS

Besides the market institutions, Bangladesh has many bodies whose task is to promote business. The most important are described below, each in the way it is usually known.

The **Federation of Bangladesh Chambers of Commerce and Industry (FBCCI)** is the main association of business people. It joins local chambers and trade bodies. It speaks to the government for traders and manufacturers, gives advice to members, helps to arrange trade fairs and missions, and acts as a link between business and the state.

An **export processing zone (EPZ)** is an area where firms producing for export receive tax relief and shared facilities such as power, water, and roads. The Bangladesh Export Processing Zones Authority, set up under an Act of 1980, runs the zones. They attract foreign investors, create jobs, and increase exports.

The **Export Promotion Bureau (EPB)** is a government body that helps Bangladeshi exporters find buyers and markets. It collects trade information, arranges fairs, registers exporters for certain purposes, and advises on export policy. The **Trading Corporation of Bangladesh (TCCB)**, formed in 1972, is a state corporation that buys and sells goods in bulk, especially essential items, for the government. It acts to steady the supply and price of such goods.

Other bodies deserve mention. The Bangladesh Bank, as the central bank, controls money and credit. The Bangladesh Investment Development Authority serves investors, and the Bangladesh Economic Zones Authority builds and runs economic zones. The Bangladesh Small and Cottage Industries Corporation supports small firms. The Registrar of Joint Stock Companies and Firms registers companies, as the previous chapter showed.

Several institutions serve different needs.

FBCCI. The Federation of Bangladesh Chambers of Commerce and Industry, the main association of business people.

Export processing zone. An area where firms producing for export receive tax relief and shared facilities.

Export Promotion Bureau. A government body that helps Bangladeshi exporters find buyers and markets.

Others also support business.

A WORKED EXAMPLE: READING A SHARE

Given. A listed company has 5,000,000 shares. The market price of each is Tk 40. It pays a total dividend of Tk 10,000,000. *Find.* The market capitalisation, the dividend per share, and the dividend as a percentage of the price. *Formula.* In words: market capitalisation equals the number of shares times the price; dividend per share equals total dividend divided by the number of shares; yield equals dividend per share divided by price, times 100. *Steps.* Market capitalisation = 5,000,000 times 40 = Tk 200,000,000. Dividend per share = 10,000,000 divided by 5,000,000 = Tk 2. Yield = 2 divided by 40, times 100 = 5 per cent. *Answer.* The company is valued at Tk 200 million and pays Tk 2 a share, a yield of 5 per cent. *Check.* Five per cent of Tk 40 is Tk 2, which agrees with the dividend per share.

A common slip is to confuse the price of a share with the value of the company. A price of Tk 40 says nothing about size until it is multiplied by the number of shares. Another slip is to treat a high yield as always good: it may arise because the price has fallen on bad news.

Figures turn a share into something we can judge.

Market capitalisation. The total value of a company's shares at the current market price.

BROKERS AND INVESTORS

Ordinary investors cannot walk onto the trading floor. They deal through a **broker**, a licensed person or firm that buys and sells shares on behalf of clients for a fee. The broker is a member of the exchange and must follow its rules. An

Investors reach the market through brokers.

Broker. A licensed person or firm that buys and sells shares on behalf of clients for a fee.

investor opens an account, gives an order, and receives shares or money after the trade is settled. Because prices can fall as well as rise, wise investors spread their money across several companies and put in only what they can afford to lose.

OTHER BODIES IN BRIEF

Each body answers one need.

It is worth seeing how the bodies fit together. The Registrar creates the company; BSEC lets it sell shares; the exchange lets the shares be traded; and the Bangladesh Bank keeps the banking system steady. The chambers of commerce speak for firms to the government, and the export bodies help firms to sell abroad. No single body does all this, and a firm often meets several in its life.

WHY COMPANIES LIST AND WHAT AN INDEX SHOWS

Listing brings money and a public name.

Share price index. A number that shows how share prices in general have moved since a starting date.

Why does a company choose to list its shares? Listing raises money, makes shares easy to sell, and gives the company a public name that helps in borrowing and trade. It also brings duties: the company must publish accounts and obey the exchange's rules. How can we tell whether share prices as a whole are rising or falling? We use a **share price index**, a number that shows how share prices in general have moved since a starting date. If an index rises from 5,000 to 5,500, prices have risen by 10 per cent on average, since 500 divided by 5,000 is 0.10.

THE ZONES AND ASSOCIATIONS IN MORE DETAIL

Zones offer sites, services, and relief to exporters.

The EPZs deserve a longer look. A firm that sets up in a zone gets a ready site with power, water, and roads. It receives help with paperwork through a single office, and not many separate ones. Incentives have included relief from tax for a period and the right to import machines and materials free of duty, provided the goods made are exported. In return, the firm must export most or all of its output. The zones thus bring foreign money, jobs, and skill, and they put goods on world markets.

Associations speak for business to government.

The FBCCI and the chambers within it perform several tasks. They collect the views of members and place them before ministries when laws or taxes are changed. They organise trade fairs and send business delegations abroad, and they receive foreign visitors who seek partners. They issue certificates, such as those of origin for exports, where authorised. They also arrange training and seminars. The EPB, for its part, studies foreign markets, publishes trade information, and helps exporters to develop new products. Each body handles one kind of problem; none replaces the others.

HOW A TRADE TAKES PLACE

An order passes from investor to broker to exchange.

A trade follows set steps. The investor gives an order to a broker, stating the company, the number of shares, and the price. The broker enters the order in the exchange's trading system. The system matches a buy order with a sell order at an agreed price. After the match, the trade is **settled**: the buyer's money passes to the seller and the shares pass to the buyer, within a fixed number of days. Both sides rely on the exchange to see that the other keeps the bargain.

GO SLOWLY HERE.

The order of the steps matters. The match comes before settlement, and neither can be skipped. If any step failed, buyers would lose money or sellers would lose shares, and confidence in the market would fall.

SUMMARY

The share market has a primary part for new shares and a secondary part for trading. An IPO is a first public sale. BSEC regulates; DSE runs the trading. FBCCI, the EPZs, EPB, and TCCB each serve a different need of business.

THINK IT THROUGH

The bakery plans an IPO. Name, in order, the institutions it will deal with, and say what each does for the company.

WHERE PEOPLE GO WRONG

Students often say the exchange regulates the market. The regulator is BSEC; the exchange operates the market under its rules. Another error is to say IPO proceeds go to the shareholders who sell; in the primary market they go to the company.

IN HISTORY

In 1954 a stock exchange association was set up in what was then East Pakistan, and in time it became the Dhaka Stock Exchange. Trading was thin and rules were few. The creation of BSEC in 1993 gave the market a regulator with legal powers, a step taken so that investors could trust the market they were asked to join.

REVIEW QUESTIONS

(1) What is the share market? (2) Distinguish primary from secondary market. (3) What is an IPO? (4) Describe the functions of the DSE. (5) What do BSEC, FBCCI, EPZ, EPB, and TCCB do?

KEY TERMS OF THIS CHAPTER

Share market. A market in which shares of companies are bought and sold. **Ordinary share.** A share whose holder receives a dividend that depends on profit and has voting rights. **Preference share.** A share whose holder is paid a fixed dividend before ordinary shareholders and usually has no vote. **Initial public offering.** The first sale of a company's shares to the general public. **Bangladesh Securities and Exchange Commission.** The state regulator of the securities market, set up under the Securities and Exchange Commission Act, 1993. **Dhaka Stock Exchange.** The principal exchange of Bangladesh, where listed shares are traded. **FBCCI.** The Federation of Bangladesh Chambers of Commerce and Industry, the main association of business people. **Export processing zone.** An area where firms producing for export receive tax relief and shared facilities. **Export Promotion Bureau.** A government body that helps Bangladeshi exporters find buyers and markets. **Market capitalisation.** The total value of a company's shares at the current market price. **Broker.** A licensed person or firm that buys and sells shares on behalf of clients for a fee. **Share price index.** A number that shows how share prices in general have moved since a starting date.

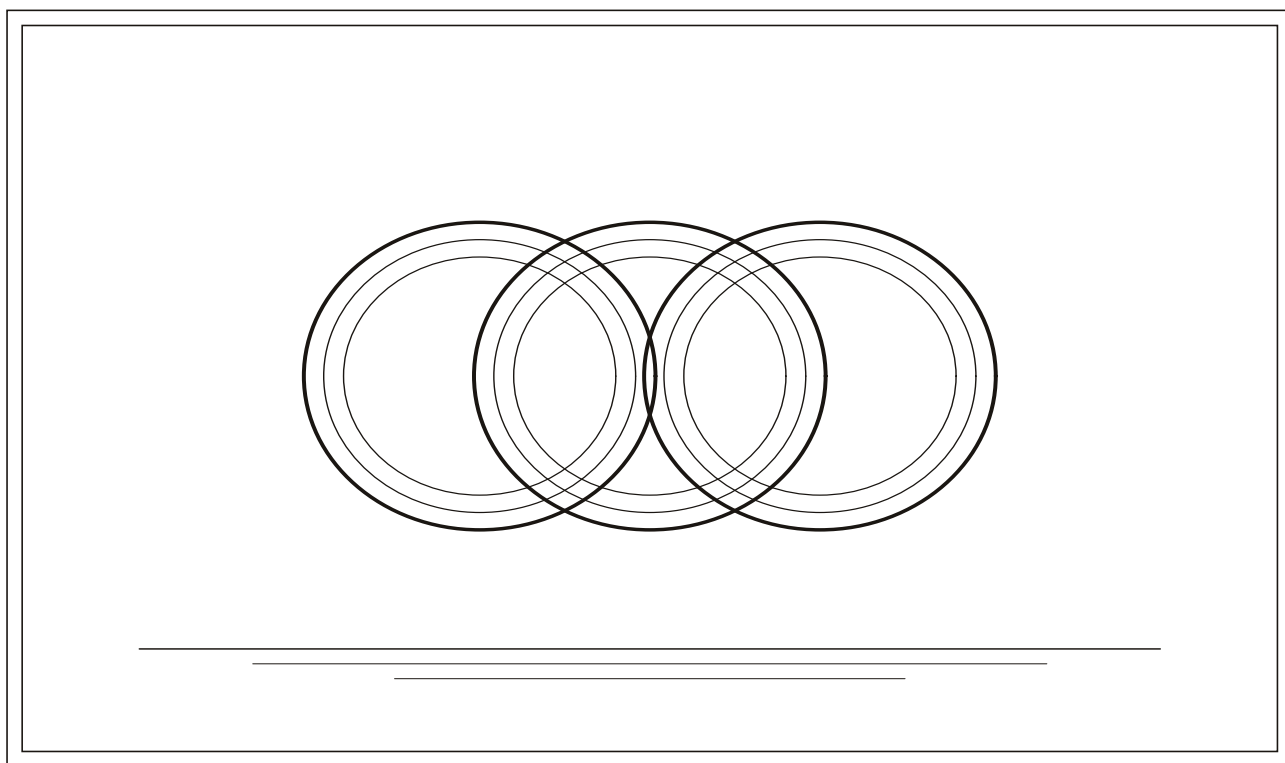


Plate VIII. [An engraving will be placed here.]

CHAPTER VIII

Joining Forces

When two bakeries merge, who gains, and who is left worse off?



This chapter explains why businesses join together, the forms the joining takes, and the opportunities and dangers it brings to firms, customers, and society.

Firms combine to grow, save cost, or end rivalry.

Business combination. The joining of two or more businesses so that they act together.

Combination runs in three directions.

Integration. The joining of businesses at the same, earlier, or later stages of production.

They also differ in how closely the firms are bound.

Gains for the firm may be losses for the public.

Larger scale can lower the cost of each unit.

Economies of scale. The fall in the cost of each unit that comes when a firm produces on a larger scale.

WHY FIRMS COMBINE

Suppose the Shapla Bakery and its largest rival decide to join. Their fight over prices has cut profits for both. Together they could buy flour in bulk, share a delivery fleet, and stop undercutting one another. The idea is general. A **business combination** means the joining of two or more businesses so that they act together.

Firms combine for several reasons. They wish to cut cost by producing on a larger scale and avoiding repeated work. They wish to reduce competition and gain more control over price. They may need more capital or skill than one firm has. They wish to secure raw materials or sales outlets, and to spread risk across more activities. Sometimes they combine simply because a weak firm cannot survive alone.

FORMS OF COMBINATION

Combinations may be classed by direction, and this is called **integration**. In **horizontal** integration, firms at the same stage join, such as two bakeries. In **vertical** integration, firms at different stages join: a bakery buying a flour mill moves backward, and one buying a chain of shops moves forward. In **lateral** or conglomerate integration, firms in unrelated lines join, such as a bakery and a travel agent, to spread risk.

Combinations also differ in the strength of the bond. Looser forms include the **pool** or **cartel**, in which firms stay independent but agree on prices or output; a **consortium**, in which several firms join for one large project; and a **syndicate**, in which firms sell through a common agency. Tighter forms include the **holding company**, which owns enough shares in other companies to control them, and the **merger**, in which one firm absorbs another or two firms unite to form a new one. A **trust**, in which owners hand their shares to trustees to manage together, was used in the nineteenth century.

OPPORTUNITIES AND THREATS

Combination offers clear **opportunities**. Larger firms may enjoy lower unit costs, stronger bargaining power with suppliers, wider markets, better research, and greater survival power in hard times. Customers may gain from lower prices if savings are passed on.

It also carries **threats**. Less competition may lead to higher prices and poorer service. A large firm may crush small rivals, or raise barriers to new entrants. Job losses may follow when duplicate posts are cut. Within the combined firm, management may grow slow and distant. For this reason most countries have laws to restrain agreements and mergers that harm competition, and the public interest requires that gain to the firm should not be bought at the cost of the community.

A WORKED EXAMPLE: THE SAVING FROM A MERGER

Given. Two bakeries each make 100,000 buns a month. Each has fixed costs of Tk 150,000 a month and a variable cost of Tk 2 a bun. If they merge, one set of fixed costs of Tk 200,000 serves both. *Find.* The cost of a bun before and after. *Formula.* Cost per bun equals fixed cost divided by output, plus variable cost per bun. *Steps.* Before: 150,000 divided by 100,000 = Tk 1.50, plus Tk 2 = Tk 3.50.

After: 200,000 divided by 200,000 = Tk 1.00, plus Tk 2 = Tk 3.00. *Answer.* Each bun falls from Tk 3.50 to Tk 3.00. *Check.* The monthly saving is 0.50 times 200,000, which is Tk 100,000, and this equals the saving in fixed cost of 300,000 minus 200,000.

The fall in cost per unit as output grows is called **economies of scale**. Its source is that fixed costs, which do not change with output, are spread across more units. The saving does not last for ever: when a firm grows too large, it may become hard to manage, and costs may begin to rise.

COMBINATION AND THE PUBLIC INTEREST

Governments watch combinations because they can help or harm the public. A merger that lowers cost and price helps customers. A cartel that fixes prices harms them. For this reason, many countries ask a competition authority to examine large mergers and to forbid agreements that restrain trade. The test is the effect on buyers, not the size of the firm. A student judging any combination should ask who gains, who loses, and whether the saving is passed on.

Law steps in where competition is harmed.

THE FORMS COMPARED

FORMS OF BUSINESS COMBINATION COMPARED

Form	What it is	Independence kept
Pool or cartel	Agreement on price or output	Complete
Syndicate	Joint selling agency	Largely kept
Consortium	Joint effort on one large project	Kept, for that project
Trust	Shares handed to trustees	Lost in practice
Holding company	Owens a controlling share of others	Legally kept, control lost
Merger	One firm absorbs another, or two form a new one	Lost

The forms differ in how much independence the members keep.

Two words about mergers deserve care. In an **absorption**, one firm takes over another, which then disappears. In an **amalgamation**, two or more firms close and a new firm takes their place. The table shows that the forms stand on a scale. At one end, firms meet and agree and may leave at any time; at the other, they become one firm. The tighter the bond, the greater the saving in cost, and the greater the loss of competition.

WHY COMBINATIONS ARE GROWING

Why do combinations seem to be growing more common? Several forces act together. Modern machines and research cost large sums, which only big firms can bear. Markets have widened beyond a single country, so that local firms meet world rivals and may need to join forces to survive. Customers and banks often prefer to deal with firms that are large and secure. Falling costs of transport and communication make it easier to manage a business across wide areas. Finally, firms in trouble often find that joining a stronger firm is a better course than closing. Whether the result is good for the public depends on the care with which the law is applied.

Pressure from cost, technology, and rivals pushes firms together.

SUMMARY

Business combination joins firms for cost, power, capital, and safety. It may be horizontal, vertical, or lateral, and may range from a loose cartel to a full merger. It brings gains of scale and risks to competition.

THINK IT THROUGH

Two sugar mills plan to merge. Say who gains and who may lose, and what a regulator should ask before allowing it.

WHERE PEOPLE GO WRONG

Students often mix up vertical and horizontal. Remember that horizontal means the same stage of the chain, and vertical means a different stage. A cartel is also often confused with a merger, but in a cartel each firm stays independent.

IN HISTORY

In 1882 John D. Rockefeller and his partners placed the shares of many oil companies under the Standard Oil Trust in the United States, and the group came to control most of the country's oil refining. Public alarm led the American Congress to pass the Sherman Antitrust Act in 1890, the first major law of its kind. In the twentieth century, the oil-exporting countries formed OPEC in 1960, a cartel of governments rather than firms.

REVIEW QUESTIONS

(1) What is meant by business combination? (2) Why do firms combine? (3) Describe the forms of combination. (4) What opportunities and threats follow?

KEY TERMS OF THIS CHAPTER

Business combination. The joining of two or more businesses so that they act together. **Integration.** The joining of businesses at the same, earlier, or later stages of production. **Economies of scale.** The fall in the cost of each unit that comes when a firm produces on a larger scale.

MATHS YOU WILL USE

This appendix collects the arithmetic used in the book. Each item is stated in words first, and then in symbols.

A **percentage** is a part of a whole, expressed out of one hundred. To find a percentage of an amount, divide the percentage by 100 and multiply by the amount. Example: 20 per cent of Tk 90,000 is 20 divided by 100, times 90,000, which equals Tk 18,000. Check: ten per cent is Tk 9,000, so twenty per cent is double that.

Percentage change equals the change divided by the starting value, times 100. Example: sales rise from Tk 80,000 to Tk 92,000. The change is Tk 12,000. Dividing 12,000 by 80,000 gives 0.15, and times 100 this is 15 per cent. A common slip is to divide by the new figure instead of the old.

A **ratio** compares two amounts by division. Capital of Tk 180,000 and Tk 60,000 stand in the ratio 3 to 1, because 180,000 divided by 60,000 is 3. An **average** is the total divided by the number of items: three shops earning 40, 50, and 60 thousand have an average of 150 divided by 3, which is 50 thousand.

To rearrange a formula, do the same thing to both sides. If profit equals revenue minus cost, then cost equals revenue minus profit. When rounding, keep the digits that matter and say so: 12,486 to the nearest thousand is 12,000. To read a graph, note what each axis measures, find the point on one axis, and follow the line to the other.

A short reference, not a lesson.

Percentage. A part of a whole, expressed out of one hundred.

Change is measured against the starting figure.

A ratio compares two amounts.

Rearranging keeps both sides equal.

PRACTICE CASES

Each case below belongs to the chapter named. Work it out in your own words, and then check the hint. The hints are not full answers; they show where to begin.

I. A tailor, a tutor, and a bank clerk all earn a living. Say who runs a business, who follows a profession, and who is in employment, and give a reason for each. *Hint: Look at how each is paid and who bears the risk.*

I. A cold-storage plant must choose between a site near the farms and a site near the city. List the factors that matter and pick one. *Hint: Weigh raw materials, markets, power, and transport.*

II. A new bridge is planned beside a lane where a tea stall stands. List one opportunity and one threat, and say which part of the environment each belongs to. *Hint: The bridge belongs to the wider environment.*

II. Complete a SWOT review for a small mobile-phone repair shop, one fact in each box. *Hint: Strengths and weaknesses are inside the firm.*

III. A factory has a choice between cheaper dyes that stain the river and dearer dyes that do not. Name the stakeholders and say what each loses or gains. *Hint: Include the neighbours and future customers.*

III. A buyer pays a small supplier ninety days late. Explain why this is a matter of responsibility. *Hint: Think of the supplier's own wages and bills.*

IV. Three friends wish to open a clinic, each a doctor. Which form suits best, and why? *Hint: Consider liability and the need for trust.*

IV. A village weavers' group wants to buy yarn in bulk. Which form suits it, and what vote does each member hold? *Hint: Think of a society of equals.*

V. An exporter ships goods worth Tk 2 million FOB. Freight is Tk 150,000 and insurance Tk 20,000. Find the CIF value. *Hint: Add the three amounts.*

Try these before reading the answers.

V. A country exports Tk 300 billion and imports Tk 350 billion of goods. State the balance of trade. *Hint: Subtract imports from exports.*

VI. A foreign firm sends a manager from its head office to run its Dhaka branch. Is he a PCN, HCN, or TCN? What if he came from a third country? *Hint: Check the country of the head office.*

VI. A branch earns Tk 50 million, and 70 per cent goes to the head office. How much stays? *Hint: Find 70 per cent and subtract.*

VII. A company has 2,000,000 shares at Tk 50. Find its market capitalisation. *Hint: Multiply the shares by the price.*

VII. Name the body that approves an IPO and the body that runs the trading. *Hint: One regulates; the other operates.*

VIII. A flour mill buys a chain of bakeries. Is this horizontal or vertical, forward or backward? *Hint: Ask which stage of the chain the mill occupies.*

VIII. Two firms agree to fix the price of cement but remain separate. Name the form and say who may be harmed. *Hint: Their independence is kept.*

ANSWERS TO REVIEW QUESTIONS

Short answers to test your own.

Chapter I. (1) Business is a lawful activity supplying goods or services for profit; it is economic, regular, profit-seeking, and risky. (2) Trade is buying and selling; commerce is trade plus its aids; industry produces or extracts goods. (3) Land, rent; labour, wages; capital, interest; organisation, profit. (4) Nearness to customers, rent, and passing trade.

Chapter II. (1) All forces inside and outside the firm that affect it. (2) Internal forces can be controlled; external ones cannot. (3) Economic, political and legal, social and cultural, technological, natural. (4) The firm watches, adapts, and sometimes shapes its surroundings.

Chapter III. (1) It is the duty to act for society's good beyond the law; it builds trust and stability. (2) Fair dealing, prompt payment, and respect for agreed quality. (3) All persons or groups affected by the firm. (4) By honest conduct that can be checked: safety, truthfulness, taxes paid, and care for the environment.

Chapter IV. (1) One person owns and controls it; it survives where personal service matters and little capital is needed. (2) Advantages: more money and skill, shared risk; disadvantages: unlimited liability, disputes, and uncertain life. (3) Partners number two or more, share liability, and act by agreement. (4) Active, sleeping, nominal; it ends by agreement, notice, contingency, compulsion, or court order. (5) Private companies restrict members and shares; public companies may invite the public to buy shares. (6) Promoters, documents, incorporation, and commencement; the prospectus invites the public to buy shares. (7) Members, one vote each, elect a committee; surplus follows use. (8) Departmental undertaking, public corporation, and government company; judge by results.

Chapter V. (1) Resources, skills, and needs differ. (2) The first counts goods; the second counts all money flows. (3) It earns currency, widens markets, creates jobs, and spreads knowledge. (4) See the stages in the chapter, from registration and the letter of credit to shipment and payment. (5) See the table of documents. (6) Tariffs, quotas, narrow product range, slow ports, and costly finance; the answers include bodies such as EPB and the EPZs.

Chapter VI. (1) A large firm that owns operations in several countries under central control. (2) The country of head office and the country where a branch operates. (3) Staff from the home, host, or a third country. (4) They bring capital,

skills, jobs, and revenue. (5) They may crush local firms, send profit abroad, and weaken national control.

Chapter VII. (1) A market where shares are bought and sold. (2) The primary market sells new shares; the secondary market trades existing ones. (3) The first sale of a company's shares to the public. (4) It provides a market, lists firms, sets rules, publishes prices, and watches for unfair practice. (5) BSEC regulates; FBCCI represents business; EPZs host exporters; EPB helps exporters; TCCB trades essential goods.

Chapter VIII. (1) The joining of firms so that they act together. (2) To cut costs, reduce competition, raise capital, and spread risk. (3) Horizontal, vertical, and lateral integration; cartels, holding companies, and mergers. (4) Gains of scale and strength against risks of higher prices and lost competition.

GLOSSARY

- Articles of association.** The document of internal rules by which a company is managed. (*Ch. IV*)
- Balance of payments.** A record of all money that enters and leaves a country in a period, for goods, services, and capital. (*Ch. V*)
- Balance of trade.** The difference between the value of a country's exports and the value of its imports of goods. (*Ch. V*)
- Bangladesh Securities and Exchange Commission.** The state regulator of the securities market, set up under the Securities and Exchange Commission Act, 1993. (*Ch. VII*)
- Broker.** A licensed person or firm that buys and sells shares on behalf of clients for a fee. (*Ch. VII*)
- Business.** Any lawful activity that supplies goods or services to customers in order to earn a profit. (*Ch. I*)
- Business combination.** The joining of two or more businesses so that they act together. (*Ch. VIII*)
- Business environment.** All the forces and conditions, inside and outside a firm, that affect how it works. (*Ch. II*)
- Capital (word in use).** In daily life, wealth. In business, the money and equipment used to produce. (*Ch. I*)
- Charter party.** A contract by which a shipowner hires out a whole ship, or part of it, to a merchant. (*Ch. V*)
- CIF.** Cost, insurance, and freight: the seller pays for the goods, insurance, and carriage to the buyer's port. (*Ch. V*)
- Commerce.** Trade together with everything that helps trade. (*Ch. I*)
- Cooperative society.** A voluntary association of persons who join to meet common needs by working together on equal terms. (*Ch. IV*)
- Debenture.** A written acknowledgement of a loan to a company, usually carrying fixed interest. (*Ch. IV*)
- Dhaka Stock Exchange.** The principal exchange of Bangladesh, where listed shares are traded. (*Ch. VII*)
- Dissolution.** The ending of a partnership, so that the firm stops and its affairs are settled. (*Ch. IV*)
- E-commerce.** Buying and selling goods and services over the internet. (*Ch. II*)
- Economies of scale.** The fall in the cost of each unit that comes when a firm produces on a larger scale. (*Ch. VIII*)
- Entrepreneur.** A person who starts a business and accepts its risks in the hope of profit. (*Ch. I*)
- Export.** To sell goods or services to a buyer in another country. (*Ch. V*)
- Export processing zone.** An area where firms producing for export receive tax relief and shared facilities. (*Ch. VII*)
- Export Promotion Bureau.** A government body that helps Bangladeshi exporters find buyers and markets. (*Ch. VII*)
- External environment.** The forces outside a firm that it cannot control but must respond to. (*Ch. II*)
- Factors of production.** The resources used to make goods and services: land, labour, capital, and organisation. (*Ch. I*)
- FBCCI.** The Federation of Bangladesh Chambers of Commerce and Industry, the main association of business people. (*Ch. VII*)
- Firm.** The partners taken together. (*Ch. IV*)
- FOB.** Free on board: the seller pays until the goods are loaded on the ship; the buyer pays the rest. (*Ch. V*)
- Foreign trade.** The buying and selling of goods and services between people in different countries. (*Ch. V*)
- Form of ownership.** The legal type of a business, which decides who owns it, who controls it, and who bears its debts. (*Ch. IV*)
- Import.** To buy goods or services from a seller in another country. (*Ch. V*)
- Industry.** Work that makes goods or extracts them from nature. (*Ch. I*)
- Initial public offering.** The first sale of a company's shares to the general public. (*Ch. VII*)
- Integration.** The joining of businesses at the same, earlier, or later stages of production. (*Ch. VIII*)
- Internal environment.** The people, resources, and rules inside a firm that its owners can change. (*Ch. II*)
- Investor.** A person who puts money into a business expecting a return. (*Ch. III*)
- Joint stock company.** A business whose capital is divided into shares and which the law treats as a person separate from its owners. (*Ch. IV*)
- Letter of credit.** A bank's written promise to pay the seller if the seller presents the documents the buyer has named. (*Ch. V*)
- Limited liability.** A shareholder's duty to pay no more of the company's debts than the unpaid amount on his shares. (*Ch. IV*)
- Market capitalisation.** The total value of a company's shares at the current market price. (*Ch. VII*)
- Marketing.** The work of finding what customers want and bringing goods to them. (*Ch. I*)
- Memorandum of association.** The document stating a company's name, objects, capital, and liability, which fixes its outer limits. (*Ch. IV*)
- Multinational corporation.** A large firm that owns and runs business operations in more than one country, under central control. (*Ch. VI*)
- Objective.** A result that a business tries to reach. (*Ch. I*)
- Ordinary share.** A share whose holder receives a dividend that depends on profit and has voting rights. (*Ch. VII*)
- Partnership.** Two or more people running a business together and sharing its profits. (*Ch. IV*)
- Partnership deed.** The written agreement setting out each partner's rights and duties. (*Ch. IV*)
- PCN, HCN, TCN.** Parent-country, host-country, and third-country nationals: staff from the home country, the host country, or another country. (*Ch. VI*)
- Percentage.** A part of a whole, expressed out of one hundred. (*App.*)
- Preference share.** A share whose holder is paid a fixed dividend before ordinary shareholders and usually has no vote. (*Ch. VII*)
- Private company.** A company that limits its members and forbids the sale of shares to the public. (*Ch. IV*)
- Prospectus.** A document by which a public company invites the public to buy its shares. (*Ch. IV*)
- Public company.** A company that may invite the public to buy its shares. (*Ch. IV*)

- Scope of business.** The whole range of activities that make up business, from making goods to helping trade. (*Ch. I*)
- Share.** One equal part of the capital of a company. (*Ch. IV*)
- Share market.** A market in which shares of companies are bought and sold. (*Ch. VII*)
- Share price index.** A number that shows how share prices in general have moved since a starting date. (*Ch. VII*)
- Social responsibility.** The duty of a business to act in ways that benefit society as well as its owners. (*Ch. III*)
- Sole proprietorship.** A business owned, financed, and controlled by one person. (*Ch. IV*)
- Stakeholder.** Any person or group affected by what a business does. (*Ch. III*)
- State enterprise.** A business owned, financed, and run by the government. (*Ch. IV*)
- Supplier.** A person or firm that sells materials or services to another business. (*Ch. III*)
- SWOT analysis.** A way of reviewing a firm by listing its strengths, weaknesses, opportunities, and threats. (*Ch. II*)
- Trade.** Buying and selling of goods. (*Ch. I*)
- Unlimited liability.** An owner's duty to pay the debts of the business from personal property if the business cannot. (*Ch. IV*)

Laws first, then the works named in the text.

Two classic works on the idea of business.

A note on how the case file was made.

One business, followed from chapter to chapter.

FURTHER READING

Laws of Bangladesh. The Partnership Act, 1932. The Companies Act, 1994. The Cooperative Societies Act, 2001. The Securities and Exchange Commission Act, 1993. The Bangladesh Export Processing Zones Authority Act, 1980. The Bangladesh Industrial Enterprises (Nationalisation) Order, 1972 (President's Order No. 27). Readers should always consult the current text, including later amendments.

Works. Adam Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations* (1776), Book I, Chapter 1, on the division of labour. Milton Friedman, *The Social Responsibility of Business Is to Increase Its Profits*, The New York Times Magazine, 13 September 1970. International Co-operative Alliance, *Statement on the Co-operative Identity* (1995).

A note on sources. The Shapla Bakery, its owners, and its figures are invented for teaching and do not describe any real firm. The historical events are taken from the public record. Dates and figures should be checked against current sources before use outside this book.

THE SHAPLA BAKERY: CASE FILE

The table lists every fact about the illustrative bakery in the order it appeared. The firm is invented. Figures are in taka.

THE CASE FILE (ILLUSTRATIVE)

Chapter	Fact recorded	
I	Rented shop at Tk 25,000 a month	oven Tk 180,000
II	Road works close the lane for six months	SWOT review made
III	Paper packs cost Tk 1.40 against Tk 1.00	extra cost Tk 8,000
IV	Imran puts in Tk 180,000, Nasrin Tk 120,000 and her recipes	partnership deed signed
IV	Equal sharing leaves Tk 45,000 each from a profit of Tk 90,000	
V	Export order for biscuits	second oven imported
VII	Possible IPO if the firm grows to ten shops	
VIII	Merger with a rival would cut the cost of a bun from Tk 3.50 to Tk 3.00	

CHRONOLOGY

DATES IN THE TEXT

Year	Event	Chapter	<i>Dates used in this book, in order.</i>
1600	East India Company chartered	VI	
1776	Adam Smith on the division of labour	I	
1844	Rochdale Pioneers open their shop	IV	
1855	Limited Liability Act (Britain)	IV	
1882	Standard Oil Trust formed	VIII	
1890	Sherman Antitrust Act	VIII	
1932	Partnership Act	IV	
1954	Stock exchange association formed	VII	
1960	OPEC founded	VIII	
1972	Nationalisation Order	TCCB formed	IV, VII
1975	First digital camera built	II	
1993	Securities and Exchange Commission Act	VII	
1994	Companies Act	IV	
1995	WTO formed	Chittagong Stock Exchange	V, VII
2001	Cooperative Societies Act	IV	
2012	Kodak bankruptcy filing	II	
2013	Rana Plaza collapse	III	

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